Nov 2026 attempt

FR Last-Day Revision — Master Pack

60 pages · ordered by ICAI marks weightage (May 2022 – Nov 2026 sweep) · tick each one as you finish

#	Topic	Weight	Pages	Done
1	Ind AS 110 · Consolidated FS (+27, 28, 111, 103 App C)	13%	2–6	☐
2	Ind AS 32 · Equity vs Liability, compound instruments	7.9%	7–9	☐
3	Ind AS 115 · Revenue	5.9%	10–13	☐
4	Ind AS 101 · First-time Adoption	5.4%	14–16	☐
5	Ind AS 19 · Employee Benefits	5.4%	17–20	☐
6	Ind AS 109 · Financial Instruments	5.1%	21–24	☐
7	Ind AS 20 · Government Grants	4.5%	25–27	☐
8	Conceptual Framework	3.4%	28–30	☐
9	Ethics · CA in Business (Ch 16)	3.1%	31–33	☐
10	Ind AS 23 · Borrowing Costs	3.1%	34–35	☐
11	Accounting & Technology (Ch 17)	2.8%	36–37	☐
12	Ind AS 1 · Presentation of FS	2.8%	38–41	☐
13	Ind AS 105 · Held for Sale & Discontinued Ops	2.8%	42–43	☐
14	Ind AS 10 · Events after RP (+ SA 560 / 570 bridge)	—	44–48	☐
15	Ind AS 8 · Policies, Estimates & Errors	—	49–52	☐
16	Ind AS 16 · Property, Plant & Equipment	—	53–56	☐
17	Ind AS 12 · Income Taxes	—	57–60	☐

Every answer: **identify the standard → state the rule with para → apply to the facts → conclude.** For FR ⇄ AAA cases, add the SA / CARO line.

⚠ TRAP

App-written notes, beyond the SM. Where ICAI's SM edition for your attempt differs (Code of Ethics edition, NOCLAR scope, Ind AS 20 nominal-value option, Labour Codes in Ind AS 19), **the SM wins.**

#1 · 13% of marks

Ind AS 110 — Consolidated FS

Control decides **who** is consolidated. The 4 WNs decide **how**. Ownership changes decide **P&L vs equity**.

1 Control = all THREE 7

Power
*Existing rights giving **current ability** to direct **relevant activities***

Exposure
*Rights to **variable returns** (dividends, synergies, fees, losses)*

Link
*Ability to **use power** to affect those returns*

2 Power — the twisted cases B9 - B54

Situation	Answer
***Protective rights** only (veto on fundamental changes, lender covenants)*	**No power** B26
***Substantive** rights — practical ability to exercise when decisions are made*	**Count them** B22
***Potential voting rights** (options / convertibles)*	*Count only if **substantive** (exercisable, in the money / no barriers)* B47
***< 50% votes, rest widely dispersed** (e.g., 48% vs thousands of 0.1%)*	**Control — de facto** B41 - B42
45% with 2 others at 26% / 29%	**No control — others can combine**
Contractual arrangement gives power without votes (structured entity)	*Look at purpose & design, who directs relevant activities* B51

3 Principal vs agent B58 - B72

→ *A decision-maker acting as **agent** for others does **not** control. Weigh: **scope of authority**, **kick-out rights** held by others, **remuneration** (market-based?), **other interests** (exposure to variability)*

→ *A **single party** that can remove the manager **without cause** → manager is an **agent*** B65

4 Who need NOT prepare CFS 4(a)

→ *Wholly-owned sub, or partly-owned with other owners **informed & not objecting**; debt/equity **not publicly traded**; not filing to issue; ultimate / intermediate parent publishes **Ind AS CFS***

→ ***Investment entity** → subs at **FVTPL** (except service subs)* 31; *its **non-investment-entity parent** still consolidates everything* 33

→ *Law: **Sec 129(3)** requires CFS; exemption under **Rule 6**, Companies (Accounts) Rules on similar conditions*

NUMERICAL CORE

5 The four working notes

WN	What it does
WN 1 Net assets	Sub's net assets at **acquisition date** (at FV, incl. FV adjustments & DT) and at **reporting date** → **post-acquisition change**
WN 2 Goodwill	Consideration + NCI + FV of previously held interest − net identifiable assets (Ind AS 103 · 32)
WN 3 NCI	NCI at acquisition + NCI% × post-acquisition change (− NCI share of upstream URP)
WN 4 Group RE	Parent RE + parent% × post-acq change − downstream URP (full) − upstream URP (parent%) − impairment (parent share)

6 Goodwill & NCI measurement Ind AS 103

- → **NCI choice per acquisition**: **FV** (full goodwill) or **proportionate share** of identifiable net assets (partial goodwill) — only for present ownership instruments with proportionate share on liquidation
- → **Bargain purchase** → reassess first; then gain in **OCI** → **capital reserve** if clear evidence of reasons; otherwise **directly to capital reserve** (Indian change; IAS 103 → P&L)
- → Goodwill impairment under **full goodwill** → shared parent / NCI in profit-sharing ratio; **partial** → gross-up for testing, only parent share recognised

7 Procedures B86 - B95

- → **Uniform policies** — adjust sub's FS B87
- → Reporting dates differ → sub prepares extra FS; if impracticable, gap **≤ 3 months** + adjust significant events B92 - B93
- → **Intra-group** balances, transactions, URP eliminated **in full**; losses may signal impairment B86(c)
- → Profit / OCI attributed to NCI **even if NCI goes into deficit** B94
- → **Cumulative preference shares** held by NCI → parent's share computed **after** those dividends, **declared or not** B95 (LDR Topic 1)

8 URP — who bears it

Direction	Elimination	DTA (Ind AS 12)
Downstream P → S	Full; **parent bears 100%**	Buyer's rate; all to parent
Upstream S → P	Full; **split parent / NCI**	Buyer's rate; split

Eliminate **100% always**. Only the **sharing** of the hit changes with direction.

MOST TWISTED

⑨ The ownership-change map

Change	Treatment	Ref
Control continues *(60% → 80%, or 80% → 60%)*	***Equity transaction***: *adjust NCI; difference vs consideration → **equity of parent**. **No goodwill change, no P&L***	*110 · 23, B96*
Loss of control *(60% → 30%)*	*Derecognise assets, liabilities, goodwill, NCI; recognise consideration + **retained interest at FV**; recycle OCI as if disposed directly; gain / loss → **P&L***	*110 · 25, B98 – B99*
Step acquisition *(30% assoc → 60%)*	*Remeasure old interest to **FV at acquisition date** → gain / loss **P&L**; recycle its OCI as if disposed*	*103 · 42*
FVOCI equity (10%) → sub (60%)	*Remeasure to FV; gain in **OCI**; never recycled*	*103 · 42*
Associate → associate (30% → 40%)	*No remeasurement of old stake; add cost; equity method continues*	*Ind AS 28*

⑩ Loss of control — gain computation

*FV of consideration received **+** FV of retained interest **+** carrying amount of NCI*
− net assets of sub (incl. goodwill) at carrying amount
*= gain / loss → **P&L** (attributable to parent) ± OCI recycled (FCTR, CFH) / RE transfer (revaluation surplus)*

⚠ TRAP

Linked transactions *(B97): two steps that are really one deal (same time, in contemplation of each other, one depends on the other, uneconomic alone) → treat as a **single loss-of-control** transaction. Stops "sell 15% to equity, then 50% to P&L" games.*

⑪ Policy vs estimate inside consolidation

→ *Sub uses **different policy** (FIFO vs weighted average) → **align** to group policy in CFS*
→ *Sub uses **different estimate** (useful life) based on its own conditions → **no adjustment** needed*

*While control lasts, the **owners swap among themselves** → **equity**. When control is lost, the **group sells a business** → **P&L**.*

12 Separate FS — Ind AS 27

- → Investments in subs / JVs / associates at **cost**, **Ind AS 109** or **equity method** — same for each category 27 · 10
- → **Dividend** from sub / JV / associate → **P&L when right is established** 27 · 12
- → New parent via share swap (no change in substance) → cost = share of equity in original parent's SFS 27 · 13

13 Associates & JVs — Ind AS 28 quick hits

- → Significant influence presumed at ≥ **20%** (rebuttable); indicators: board seat, policy participation, material transactions, interchange of managers, technical info
- → Equity method: cost + share of post-acq profit / OCI − dividends received
- → Losses beyond interest → stop at zero unless legal / constructive obligation; **long-term interests** (LTI) absorb losses after Ind AS 109 is applied to them first
- → Up / downstream URP with associate → eliminated only to the **investor's share** (unlike subsidiary — full)
- → Impairment → whole investment tested under Ind AS 36 (goodwill not separately)

14 Joint arrangements — Ind AS 111

	Joint operation	Joint venture
Parties have rights to	**Assets & obligations** for liabilities	**Net assets**
Accounting	Own share of assets, liabilities, revenue, expenses	**Equity method** (Ind AS 28)
Clue	No separate vehicle, or vehicle's form / terms / facts give direct rights	Separate vehicle with limited liability, no override

15 Common control combinations — Ind AS 103 App C

- → **Pooling of interests**: assets & liabilities at **carrying amounts**; no FV, **no new goodwill**
- → Difference (consideration vs share capital of transferor) → **capital reserve** (separately presented)
- → Restate prior-period info **as if combined from the beginning of the preceding period** (or from the date common control began, if later)

16 Companies Act links

Provision	Point
Sec 2(87)	Subsidiary: controls **composition of Board**, or **> ½ of total voting power** (alone or with subs)
Sec 2(6)	Associate: significant influence = **≥ 20% of total voting power** or control / participation in business decisions under agreement
Sec 129(3)	CFS of company + all subs, associates, JVs, in same form; **AOC-1** salient features
Sec 143(1) proviso	Holding company's auditor has **right of access** to records of subs / associates to the extent needed for consolidation
Layers Rules, 2017	Limit on layers of subsidiaries (certain classes exempt)

⚠ **TRAP**

Legal "subsidiary" (Sec 2(87)) and Ind AS "control" can differ — CFS follow **Ind AS 110 control**.

17 AAA bridge

Area	Requirement
SA 600	Principal auditor using work of other / component auditors: nature of reliance, communication, procedures, reporting
CARO 2020	**Not applicable to CFS** except **3(xxi)**: qualifications / adverse remarks in CARO reports of companies in the CFS — names, CIN, clause numbers
SA 550	Related parties — intra-group transactions identified for elimination
SA 540	FV of identifiable net assets, NCI at FV, goodwill impairment
Sec 143(3)(i) / ICFR	Report on IFC over financial reporting also for CFS (Indian subs)

18 Technology link (SM Ch 17 PYQ)

Many subs incl. foreign → **RPA bots** extract each sub's data, convert currency, identify & **eliminate intra-group transactions**, post elimination entries → accurate, consistent, timely CFS.

✍ **Write in exam**

"As per para 23 of Ind AS 110, changes in a parent's ownership interest in a subsidiary that do not result in loss of control are equity transactions. The carrying amounts of the controlling and non-controlling interests are adjusted, and any difference between the amount by which NCI is adjusted and the fair value of consideration paid or received is recognised directly in equity attributable to owners of the parent."

#2 · 7.9% of marks

Ind AS 32 — Equity vs Liability

One question: does the issuer have an **unavoidable contractual obligation** to give cash / another financial asset? Legal form doesn't decide — **substance** does.

1 Financial liability — the definition 11

- → *Contractual obligation to **deliver cash / financial asset**, or to **exchange** financial instruments under **potentially unfavourable** conditions*
- → *Contract settled in **own equity**:*
  - ***non-derivative** → liability if **variable number** of shares*
  - ***derivative** → liability unless **fixed number of shares for fixed cash** ("fixed-for-fixed")*

> *Equity = the issuer **can always say no** to paying. Liability = it **cannot**.*

2 Preference shares — the classification grid

Redemption	Dividend	Classification
*Mandatory / at **holder's** option*	*Mandatory (cumulative)*	***Liability (whole)***
Mandatory / at holder's option	***Discretionary***	***Compound**: liability = PV of redemption; equity = rest*
*Non-redeemable / at **issuer's** option*	***Discretionary***	***Equity***
Non-redeemable	***Mandatory***	***Liability (PV of perpetual dividends)***
*Issuer's option, with **step-up** dividend that compels redemption*	—	*Equity — economic compulsion alone isn't an obligation; but check for **indirect obligation** in terms* 20

⚠ TRAP

*Legally "share capital" under the Companies Act, but **liability** under Ind AS → shown under **borrowings** (Sch III); dividend on it = **finance cost in P&L**. Sec 55: preference shares redeemable within **20 years** (30 for infrastructure, with annual redemption).*

3 Special classification rules

- → ***Contingent settlement** (pay if IPO fails / profits fall) → **liability**, unless the contingency is **not genuine** or arises only on **liquidation*** 25
- → ***Settlement options** (issuer / holder chooses cash or shares) → liability / derivative liability **unless all alternatives give equity*** 26
- → ***Puttable instruments** and obligations arising only on **liquidation** → equity if strict conditions (most subordinate class, pro-rata share...)* 16A - 16D
- → ***Rights issue** for fixed foreign-currency amount, pro-rata to all existing owners → **equity*** 11
- → ***Indian carve-out**: **conversion option in a foreign-currency convertible bond** (fixed number of shares for fixed amount in **any currency**) → **equity** (IAS 32 → derivative liability)* 11

NUMERICAL CORE

④ Split at initial recognition 28 – 32

Step 1 Liability = PV of interest + principal, discounted at **market rate for similar debt WITHOUT conversion**

Step 2 Equity = Proceeds − Liability **(residual)**

Step 3 Transaction costs → allocated **in proportion** to the split 38

No gain / loss on initial split. Split is **not revised** for changes in likelihood of conversion 30

Example (rounded): 10,000 debentures × ₹100, 6% coupon, 3 years, market rate 9%	
PV of coupons ₹6,00,000 × 2.5313	₹15,18,777
PV of principal ₹1,00,00,000 × 0.7722	₹77,21,835
Liability	**₹92,40,612**
Equity component (1,00,00,000 − 92,40,612)	**₹7,59,388**

Subsequently: liability at **amortised cost** (interest at 9% → P&L); equity component stays — may move within equity, never remeasured.

⑤ After issue — four endings

Event	Treatment
Conversion at maturity	Liability carrying amount → equity. **No gain / loss** AG32
Redemption at maturity	Pay off liability; equity component may move to retained earnings
Early repurchase	Allocate price to liability (its FV at that date) and equity: liability part → **P&L**; equity part → **equity** AG33 – 34
Induced conversion (sweetener)	FV of extra consideration → **loss in P&L** at date terms amended AG35

Liability side gains / losses → **P&L**. Equity side → **equity**. Never mix.

6 Equity mechanics 33 - 41

- → **Treasury shares** (own shares reacquired, e.g., via ESOP trust consolidated) → **deducted from equity**; **no gain / loss** on purchase, sale, cancellation 33
- → Interest, dividends, gains / losses on a **liability** → **P&L**; distributions to **equity** holders → **equity directly** 35
- → **Transaction costs of equity** (registration, legal, underwriting) → **deducted from equity**; abandoned issue costs → P&L 37
- → Income tax on equity distributions / costs → per **Ind AS 12** 35A

7 Offsetting 42

Offset financial asset & liability **only if** both: **(a)** currently **legally enforceable** right to set off (not contingent on a future event), and **(b)** intention to settle **net** or **simultaneously**.

8 In consolidation

- → **Written put over NCI shares** (parent must buy NCI on demand) → **financial liability** in CFS at PV of redemption amount
- → Instrument may be **equity in sub's SFS** but **liability in CFS** if parent guarantees payment

9 AAA & law bridge

Area	Requirement
CARO 3(x)(a)	Money raised by IPO / FPO (incl. debt instruments) applied for stated purposes?
CARO 3(x)(b)	Preferential allotment / private placement of shares or (fully / partly / optionally) convertible debentures — Sec **42** & **62** complied; funds used for purpose
Sec 55	Redeemable preference shares — redemption out of profits / fresh issue; CRR
Sec 71	Debentures; DRR where required
SA 315 / 330	Classification risk — legal form vs substance (presentation & disclosure assertion)

> ✍ **Write in exam**
> "As per para 15 and 16 of Ind AS 32, the issuer shall classify the instrument on initial recognition according to the substance of the contractual arrangement. Since the preference shares carry a mandatory redemption on a fixed date, the issuer has a contractual obligation to deliver cash, and the instrument is a financial liability; dividends thereon are recognised as finance cost in profit or loss (para 35)."

> ✍ **Write in exam**
> "The compound instrument is split at initial recognition: the liability component is measured at the present value of contractual cash flows discounted at the market rate for similar debt without conversion, and the equity component is the residual (para 31–32)."

#3 · 5.9% of marks

Ind AS 115 — Revenue

Five steps. Every twisted question is really asking **which step** it is testing.

1 The five steps

#	Step	Key test
1	***Identify the contract***	*Approved, rights & payment terms identifiable, **commercial substance**, **collection probable*** 9
2	***Identify performance obligations***	*Good / service **distinct**: capable of being distinct + distinct **in context*** 27
3	***Determine transaction price***	*Variable consideration, financing, non-cash, payable to customer* 47
4	***Allocate***	*Relative **standalone selling price*** 73
5	***Recognise***	*When / as **control** transfers — over time or point in time* 31

2 Step 1 — contract traps

→ *Collection **not probable** → no contract; consideration received = **liability** until criteria met / contract ends & non-refundable* 15

→ ***Combine** contracts entered at/near same time if negotiated as a package, price interdependent, or single PO* 17

Contract modification 18 - 21	Treatment
*Adds **distinct** goods at **standalone price***	***Separate new contract***
Remaining goods distinct, price not standalone	***Terminate old + new contract** — prospective*
*Remaining goods **not distinct** (single PO partly done)*	***Cumulative catch-up** to revenue*

3 Step 3 — transaction price

→ ***Variable consideration** (discounts, rebates, bonuses, penalties, returns): **expected value** or **most likely amount**, then **constraint** — include only to extent **highly probable** no significant reversal* 53 · 56

→ ***Significant financing component** → adjust for time value; expedient if gap **≤ 1 year*** 60 - 63

→ ***Non-cash consideration** → FV* 66

→ ***Consideration payable to customer** (slotting fees, coupons) → **reduce revenue**, unless for a distinct good / service at FV* 70

4 Step 4 — allocation 73 - 86

→ *SSP not observable → **adjusted market assessment**, **expected cost + margin**, **residual** (only if highly variable / uncertain)*

→ ***Discount** → proportionately to all POs, unless observable evidence it relates to some* 81 - 82

→ ***Variable consideration** → wholly to one PO if terms relate to it and result is consistent with objective* 85

5 Step 5 — over time? (any ONE) 35

(a)	(b)	(c)
Customer **simultaneously receives & consumes** benefits (cleaning, payroll)	Performance creates / enhances an asset the **customer controls** as it's built	**No alternative use** and **enforceable right to payment** for work done to date

→ *Measure progress: **output** (milestones, units) or **input** (cost-to-cost) — exclude costs not reflecting progress (wasted materials); **uninstalled materials** → revenue = cost (zero margin)* B19

→ *Can't measure progress but expect to recover costs → revenue **to extent of costs*** 45

Point in time — control indicators 38

Present right to payment · legal title · physical possession · significant risks & rewards · customer acceptance

6 Contract balances 105 - 108

Item	Meaning
Receivable	**Unconditional** right to consideration (only time to pass) → Ind AS 109 ECL
Contract asset	Right **conditional** on something other than time (further performance)
Contract liability	Consideration received / due **before** performance

7 Contract costs 91 - 104

→ ***Incremental cost of obtaining*** *(sales commission on winning) → **asset** if expected recoverable; expedient: expense if amortisation ≤ 1 year*

→ *Costs incurred **regardless** of win (bid costs, legal) → expense unless explicitly chargeable*

→ ***Costs to fulfil*** *(not under other Ind AS) → asset if relate to contract, generate resources, expected recovered*

→ *Amortise consistent with transfer of goods; impairment test*

MOST TWISTED

⑧ The application-guidance hit list

Situation	Treatment
Right of return B20 – B27	Revenue only for goods **not expected** to return; **refund liability**; **asset** for right to recover goods (cost less recovery cost & value loss)
Warranty B28 – B33	**Assurance** type → Ind AS 37 provision. **Service** type (or sold separately) → **separate PO**, defer revenue
Principal vs agent B34 – B38	Controls the good **before** transfer → principal (gross). Indicators: primarily responsible, inventory risk, pricing discretion. Agent → **net commission**
Customer options (loyalty points) B39 – B43	**Material right** → separate PO; allocate price by SSP of points (adjusted for expected redemption); revenue on redemption / expiry
Unexercised rights (breakage) B44 – B47	Expected breakage recognised in proportion to rights exercised (if no significant reversal)
Non-refundable upfront fee B48 – B51	Usually **advance for future** goods → defer over period (incl. renewal if material right)
Licence B52 – B63	**Right to access** (IP changes with licensor activity) → **over time**; **right to use** (IP as it exists) → **point in time**. Sales / usage-based **royalty** → recognise when sale / usage occurs
Repurchase B64 – B76	Forward / call: price < original → **lease**; ≥ → **financing**. Put: significant incentive to exercise → lease / financing; else sale with right of return
Consignment B77 – B78	No revenue on delivery to consignee — revenue when consignee sells
Bill-and-hold B79 – B82	All 4: substantive reason, identified separately as customer's, ready for transfer, can't be used / redirected

⚠ TRAP

Channel stuffing (Jan 2026 PYQ): goods pushed to distributors without firm orders, 180-day credit, right of return → control may not have transferred; returns expected → **no revenue** for those; also an **ethics** issue (integrity, objectivity).

9 Indian specifics

- → **Reconciliation** of revenue recognised with **contracted price**, showing adjustments (discounts, rebates, refunds, credits, price concessions, incentives, bonuses) 126AA
- → Scope out: leases (116), insurance (117), financial instruments (109), non-monetary exchanges between same-line entities to facilitate sales
- → Interest & dividend income → Ind AS 109, not 115

10 Cross-standard links

- → **Ind AS 16 · 68A** — rental assets routinely sold → inventory; proceeds = revenue
- → **Ind AS 16 · 69, 72** — disposal date & consideration follow Ind AS 115 rules
- → **Ind AS 37** — assurance warranty provisions; onerous contracts
- → **Ind AS 109** — ECL on receivables & contract assets (simplified approach)
- → **Ind AS 12** — advance taxed on receipt → DTA
- → **Ind AS 10** — returns after RD give evidence of NRV / variable consideration at RD

11 AAA bridge

Area	Requirement
SA 240 · 26	**Presumed fraud risk in revenue recognition** — rebut only with documented reasons
SA 540	Variable consideration, constraint, SSP, % completion estimates
SA 505	External confirmations of receivables & contract terms (side agreements)
SA 500	Cut-off testing near year-end (channel stuffing)
SA 550	Revenue with related parties — arm's length

> ✍ **Write in exam**
> "As per para 56 of Ind AS 115, variable consideration is included in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur when the uncertainty is subsequently resolved."

> ✍ **Write in exam**
> "Since the performance does not create an asset with an alternative use and the entity has an enforceable right to payment for performance completed to date, the performance obligation is satisfied over time as per para 35(c)."

Ask in order: **Contract?** → **POs?** → **Price?** → **Split?** → **When?** Name the step in your answer.

#4 · 5.4% of marks

Ind AS 101 — First-time Adoption

Default = **full retrospective** application. Then **mandatory exceptions** (must) and **optional exemptions** (may) carve it down.

1 The dates — draw this first

Term	Example: first Ind AS FS for FY 2025-26
Date of transition = start of earliest comparative period	***1 April 2024*** — opening Ind AS balance sheet prepared here
Comparative period	FY 2024-25 — restated under Ind AS
First Ind AS reporting period / reporting date	FY 2025-26 / ***31 March 2026***
Ind AS versions used	Those ***effective at 31 March 2026***, applied to all periods 7 - 8

→ First Ind AS FS = first FS with an ***explicit and unreserved statement of compliance*** with Ind AS 3

2 Opening Ind AS balance sheet 10 - 11

- ***Recognise*** all assets / liabilities Ind AS requires
- ***Derecognise*** items Ind AS doesn't permit
- ***Reclassify*** items (e.g., redeemable pref. shares → liability)
- ***Measure*** per Ind AS

All adjustments → ***retained earnings*** (or another equity category) ***at the date of transition*** — not P&L of any period.

Previous-GAAP ***proposed dividend*** liability → reversed (not a liability under Ind AS 10).

3 Mandatory exceptions — NO choice App B

Area	Rule
Estimates	Consistent with previous-GAAP estimates (after policy alignment) ***unless*** evidence of error — ***no hindsight***
Derecognition of fin. assets / liabilities	***Prospective*** from transition date (may apply earlier if info was obtained then)
Hedge accounting	Only hedges that qualify under Ind AS 109 at transition date
NCI	Certain Ind AS 110 requirements (TCI to NCI, ownership changes) prospective
Classification & measurement of fin. assets	Assess on ***facts at transition date***
Impairment (ECL)	Reasonable info without undue cost; compare with initial credit risk where practicable
Embedded derivatives	Assess on later of first-party date and date reassessment required
Government loans at below-market rate	Use ***previous-GAAP carrying amount*** at transition (prospective Ind AS 109 / 20)

MOST TESTED

④ Optional exemptions — MAY use App C · D

Exemption	What it allows
Business combinations C	Don't restate past BCs. If you restate one, **restate all later** ones. Goodwill carried forward; test for impairment at transition
Deemed cost — PPE, intangibles, investment property	**FV** at transition, or previous-GAAP **revaluation**; or **previous-GAAP carrying value for ALL** PPE (+ decommissioning adjustments) D7AA (Indian)
Investments in subs / JVs / associates (SFS)	Cost per Ind AS 27, or deemed cost = **FV** or **previous-GAAP carrying amount** D15
Cumulative translation differences	Reset to **zero** at transition D13
Long-term foreign-currency monetary items	**Continue** previous-GAAP policy (AS 11 para 46A — capitalise / amortise FX) for items recognised before start of first Ind AS period D13AA (Indian)
Compound instruments	No split if liability component no longer outstanding at transition D18
Designation of financial instruments	FVOCI equity election / FVTPL designation based on facts at transition
Share-based payments	Need not apply Ind AS 102 to equity-settled awards **vested** before transition
Leases	Ind AS 116 transition simplifications at transition date
Decommissioning in PPE	Simplified measurement at transition
Borrowing costs	Previous-GAAP capitalised amounts may be retained

⚠ TRAP

Exception vs exemption: **exceptions** (App B) are **compulsory** — no hindsight on estimates, prospective derecognition. **Exemptions** (App C / D) are **elective**, item by item (some all-or-nothing, e.g., D7AA "all PPE").

Exception = Compulsory. Exemption = Elective.

5 Reconciliations to disclose 23 – 33

- → **Equity**: previous GAAP → Ind AS at **(a) transition date** and **(b) end of latest previous-GAAP period**
- → **Total comprehensive income** for the latest previous-GAAP period (start from previous-GAAP profit)
- → Material adjustments to **cash flow statement** explained
- → **Errors** under previous GAAP shown **separately** from policy changes 26
- → Impairment losses recognised / reversed at transition (Ind AS 36 disclosures)
- → Use of **FV as deemed cost** → aggregate FV and adjustment to carrying amounts, per line item 30
- → **Interim** reports within first Ind AS year → same reconciliations 32

6 Indian roadmap points

- → Companies (Ind AS) Rules, 2015 — mandatory by phases (listed / net-worth thresholds); **holding, subsidiary, JV, associate** of a covered company also apply
- → **Voluntary** adoption allowed; once on Ind AS, **cannot revert** to AS
- → NBFCs, banks, insurers — separate RBI / IRDAI roadmaps

7 Cross-links

- → **Ind AS 8** doesn't apply to policy changes on first-time adoption
- → **Ind AS 1 · 40A** — third balance sheet: the transition-date BS is presented
- → **Ind AS 12** — DT on all transition adjustments; most go to retained earnings
- → **Ind AS 103 App C / 110** — consolidation of subs already acquired: carrying amounts per exemption

8 AAA bridge

Area	Requirement
SA 510	Opening balances — first-time adoption adjustments are part of opening equity
SA 710	Comparatives restated under Ind AS — corresponding figures
SA 540	FV used as deemed cost; ECL at transition
SA 706	EOM may draw attention to transition note

> ✍ **Write in exam**
> "As per para 14 of Ind AS 101, an entity's estimates in accordance with Ind AS at the date of transition shall be consistent with estimates made for the same date under previous GAAP (after adjustments to reflect any difference in accounting policies), unless there is objective evidence that those estimates were in error."

Nov 2026 attempt

Ind AS 19 — Employee Benefits

Four buckets. The bucket decides **discounting** and whether remeasurement goes to **P&L or OCI**.

① The four buckets

Bucket	Examples	Measure	Remeasurement
Short-term	*Salary, paid leave, bonus — settled **wholly within 12 m** after year of service*	*Undiscounted*	—
Post-employment	*Gratuity, pension, PF, post-retirement medical*	*DC: contribution DB: PUCM, discounted*	*DB → **OCI***
Other long-term	*Leave encashment **not** wholly within 12 m, long-service awards*	*PUCM, discounted*	***P&L***
Termination	*VRS, retrenchment compensation*	*Short- or long-term rules by timing*	*As per timing*

> ⚠ **TRAP**
> ***Leave encashment (other long-term)**: actuarial valuation like DB, but actuarial gains / losses go to **P&L, NOT OCI** 154 - 156. Examiners love this.*

② Short-term benefits 9 - 25

- → ***Accumulating** absences (carried forward) → recognise when service **increases entitlement** — both vesting and non-vesting (non-vesting: adjust for expected forfeiture)*
- → ***Non-accumulating** absences (e.g., sick leave lapses) → recognise **when absence occurs***
- → ***Bonus / profit-sharing** → when **present legal or constructive obligation** from past events + reliable estimate* 19
- → *Temporary change in settlement timing → no reclassification; reassess if characteristics change* 10

③ DC vs DB — who bears the risk?

Defined contribution

*Fixed contribution; **employee** bears actuarial & investment risk. Expense = contribution payable for service. EPFO (RPFC) PF, ESI, NPS.*

Defined benefit

*Entity promises a benefit; **entity** bears risk. Gratuity (Payment of Gratuity Act), pensions.*

*PF in a **company-managed exempt trust** with **guaranteed interest rate** → DB (shortfall risk sits with employer).*

NUMERICAL FAVOURITE

4 Net defined benefit liability (asset) 57 - 64

Net DBL = PV of DBO − FV of plan assets · surplus capped at **asset ceiling** (PV of refunds / reductions in future contributions)

→ Method: **Projected Unit Credit**; attribute benefit per plan formula — **straight-line** if back-loaded

→ **Discount rate**: market yields on **government bonds** at RD 83 (Indian change; IAS 19 uses high-quality corporate bonds — foreign subs / branches use corporate bonds where deep market)

5 Three components — where each goes 120

Component	Includes	Goes to
Service cost	Current service cost; past service cost (incl. curtailment); settlement gain / loss	**P&L**
Net interest	Discount rate × **net** DBL (at start, adjusted for contributions / payments)	**P&L**
Remeasurements	Actuarial gains / losses; return on plan assets **excl.** net interest; change in asset ceiling **excl.** interest	**OCI — never recycled**

P&L sees "S + I" (service + interest). OCI sees "R" (remeasurement). OCI may move to retained earnings, **never to P&L**.

6 Movement table — the exam layout

DBO (PV of obligation)	Plan assets (FV)
Opening	Opening
+ Current service cost	+ Interest income (opening × rate)
+ Interest cost (opening × rate)	+ Contributions received
+ Past service cost	− Benefits paid
− Benefits paid	± **Return excl. interest (balancing → OCI)**
± **Actuarial loss / (gain) (balancing → OCI)**	= Closing (given by actuary)
= Closing (given by actuary)	

⚠ TRAP

Interest on plan assets uses the **discount rate**, **not** the actual / expected return. Actual return − interest income = remeasurement (OCI).

7 Past service cost, curtailment, settlement 99 - 112

→ **Past service cost** (plan amendment / curtailment) → **immediately in P&L** — no spreading over vesting period (unlike old AS 15)

→ Recognise at the **earlier** of: amendment / curtailment occurs, **or** related restructuring costs (Ind AS 37) / termination benefits recognised 103

→ **Settlement** gain / loss = PV of DBO settled − settlement price → P&L

2019 amendment 122A

On amendment / curtailment / settlement during the year → **remeasure** net DBL with **updated assumptions**, and use those **updated assumptions** for current service cost & net interest for the **rest of the period**. Asset ceiling effect handled separately (through OCI).

⚠ TRAP

Law change increasing benefits (e.g., new Labour Codes widening "wages" for gratuity) = **plan amendment** → **past service cost** → **P&L immediately**, not OCI. Verify applicability date for your attempt.

8 Termination benefits 159 - 171

→ Arise from **entity's decision** to terminate or employee accepting an **offer** (VRS) — not from future service

→ Recognise at the **earlier** of: **(a)** entity can **no longer withdraw** the offer; **(b)** entity recognises **restructuring costs** (Ind AS 37) involving termination benefits 165

→ Settled within 12 m → short-term rules; otherwise → long-term (discounted)

⚠ TRAP

Benefits that are conditional on **future service** (stay-till-closure bonus) are **NOT** termination benefits — attribute over the service period.

9 Presentation

→ Ind AS 19 doesn't split current / non-current → apply **Ind AS 1**: actuary's estimate of amount payable within 12 m → **current**

→ Offset plan assets of one plan against another's obligation only with legal right + intent 131

→ Disclose **sensitivity analysis** for significant actuarial assumptions

→ **Share-based payments** → Ind AS 102, not Ind AS 19

⑩ Cross-standard links

→ **Ind AS 1** — remeasurements in "items that will **not** be reclassified"; current / non-current split

→ **Ind AS 12** — gratuity / leave provisions deductible on payment (Sec 43B) → **DTA**; DT on remeasurement → **OCI**

→ **Ind AS 37** — restructuring provision timing drives termination benefit & past service cost timing

→ **Ind AS 10** — bonus fixed after RD where obligation existed at RD = adjusting (para 9(d))

→ **Ind AS 8** — change in actuarial assumptions = estimate (handled as remeasurement)

→ **Ind AS 2 / 16** — employee cost directly attributable may be capitalised into inventory / PPE

⑪ AAA bridge

Area	Requirement
SA 500 (para 8)	Actuary = **management's expert** → evaluate competence, capabilities, objectivity; understand work; evaluate appropriateness
SA 620	Only if the **auditor** engages their own actuary (auditor's expert)
SA 540	Assumptions: discount rate (G-sec), salary escalation, attrition, mortality
SA 580	Representation that significant assumptions are reasonable
CARO 3(vii)(a)	PF, ESI and other statutory dues deposited regularly; arrears > 6 months
Exempt PF trust	Check interest shortfall vs guaranteed rate → DB liability

> ✍ **Write in exam**
> "Leave encashment that is not expected to be settled wholly within twelve months after the end of the annual reporting period is an other long-term employee benefit. It is measured using the projected unit credit method, and as per para 156 of Ind AS 19, remeasurements are recognised in profit or loss, not in OCI."

> ✍ **Write in exam**
> "Remeasurements of the net defined benefit liability comprising actuarial gains and losses and return on plan assets excluding amounts included in net interest are recognised in OCI and shall not be reclassified to profit or loss in a subsequent period (para 122)."

#6 · 5.1% of marks

Ind AS 109 — Financial Instruments

Classify (business model + SPPI) → measure → impair (ECL) → derecognise → hedge.

1 Financial assets — classification 4.1

Business model	SPPI?	Category
Hold to collect	Yes	**Amortised cost**
Hold to collect & sell	Yes	**FVOCI (debt) — recycled**
Other (trading, FV-managed)	—	**FVTPL**
Any	**No** (e.g., equity, convertible, leveraged)	**FVTPL**

- → **Equity** not held for trading (and not BC contingent consideration) → **irrevocable FVOCI election** at initial recognition; **never recycled**; dividends → P&L 5.7.5
- → **Fair value option** → designate FVTPL if it eliminates an **accounting mismatch** (irrevocable)
- → Sales under HTC are fine if **infrequent / insignificant** or due to **credit deterioration**

⚠ TRAP

Reclassification of financial assets only when the **business model changes** (rare, significant, demonstrable) → **prospective** from the **first day of the next reporting period**. **Never** for FVOCI equity, FVO designations, or **financial liabilities**.

2 Financial liabilities 4.2

- → Default: **amortised cost** (EIR). FVTPL if held for trading, derivatives, or designated
- → Designated FVTPL → change from **own credit risk** → **OCI** (never recycled), rest P&L — unless OCI creates a mismatch 5.7.7
- → **Financial guarantee** (issuer) → initially FV; later **higher of** ECL allowance and initial amount less cumulative income

3 Initial measurement 5.1

- → **FV + transaction costs** (except FVTPL → costs to P&L). Trade receivables without significant financing → **transaction price**
- → **Day-1 difference** (FV ≠ price): recognise in P&L only if FV is Level 1 or uses only observable inputs; else **defer** B5.1.2A
- → Interest-free **loan to employee / sub** → FV (PV at market rate); difference = employee benefit / **investment in sub** (parent SFS)

NUMERICAL

④ Expected credit loss — general (3-stage) approach 5.5

Stage	Trigger	Allowance	Interest on
1	No significant increase in credit risk (SICR)	**12-month** ECL	Gross carrying amount
2	**SICR** since initial recognition	**Lifetime** ECL	Gross carrying amount
3	**Credit-impaired**	**Lifetime** ECL	**Net (amortised cost)**

- → Rebuttable presumptions: **> 30 days past due** = SICR; **> 90 days** = default
- → **Simplified approach** (always lifetime ECL; provision matrix) — **mandatory** for trade receivables / contract assets **without** significant financing; policy choice for those with financing and lease receivables
- → **POCI** (purchased / originated credit-impaired) → credit-adjusted EIR; recognise only **changes** in lifetime ECL
- → **FVOCI debt** → ECL allowance in **OCI**, not reducing carrying amount (which stays at FV)
- → ECL = probability-weighted, time value, reasonable & supportable info incl. **forward-looking**

⑤ Modification & derecognition of liabilities 3.3

- → Liability derecognised when **extinguished** (discharged, cancelled, expired)
- → **10% test**: PV of new cash flows (incl. fees, discounted at **original EIR**) differs by **≥ 10%** from PV of remaining old cash flows → **substantial** → extinguish old, recognise new at FV; difference → P&L
- → Not substantial → adjust carrying amount; costs amortised over remaining term
- → Asset modification not causing derecognition → recalculate gross carrying amount at **original EIR**; gain / loss → P&L 5.4.3

ECL stages move **both ways** — improvement takes Stage 2 back to Stage 1 (12-month ECL).

6 Derecognition of financial assets — decision tree 3.2

1. **Consolidate** subsidiaries / SPVs first
2. Rights to cash flows **expired**? → derecognise
3. Rights **transferred**, or **pass-through** met (no obligation unless collected; can't sell / pledge; remit without material delay)? If neither → keep
4. **Substantially all risks & rewards** transferred → **derecognise**; **retained** → **keep** (proceeds = collateralised borrowing)
5. Neither transferred nor retained → **control** retained? No → derecognise; Yes → **continuing involvement**

Example	Result
Factoring **without recourse**	**Derecognise**
Factoring **with full recourse** / guarantee of all losses	**Keep + liability**
Sale + repurchase at fixed price + lender's return (repo)	**Keep — financing**
Sale + call option deeply out of the money	**Derecognise**

7 Derivatives & embedded derivatives

- → Derivative: value changes with an **underlying**, **little / no initial investment**, **settled in future** → **FVTPL**
- → Hybrid with a **financial-asset host** in Ind AS 109 → **no separation**; classify whole (usually fails SPPI → FVTPL)
- → Other hosts (liability, non-financial) → separate if **not closely related**, would meet derivative definition, hybrid not at FVTPL
- → Own-use contracts for non-financial items (normal purchase / sale) → outside 109 unless net settled

8 Hedge accounting Ch 6

Type	Accounting
Fair value	Hedging instrument & hedged item (for hedged risk) → **P&L**; hedged item carrying amount adjusted
Cash flow	Effective portion → **OCI (CFH reserve)**; ineffective → P&L. Recycle when hedged item affects P&L; **basis adjustment** for non-financial items
Net investment	Like CFH; recycled on disposal of foreign operation

Qualifying: designation & documentation at inception; **economic relationship**; credit risk doesn't dominate; **hedge ratio** consistent. **No voluntary de-designation** while risk management objective is unchanged; rebalance instead.

⑨ Where gains / losses go — one table

Instrument	FV change	On sale
Amortised cost	—	Gain / loss → P&L
FVOCI **debt**	OCI (interest, ECL, FX → P&L)	**Recycled to P&L**
FVOCI **equity**	OCI (dividend → P&L)	**Not recycled (may move to RE)**
FVTPL	P&L	P&L
Designated FVTPL **liability**	Own credit → OCI; rest → P&L	OCI part never recycled

⑩ Cross-standard links

- → **Ind AS 32** — classification as liability / equity first; Ind AS 109 then measures the liability
- → **Ind AS 107** — credit, liquidity, market risk disclosures; ECL reconciliations
- → **Ind AS 113** — FV hierarchy (Level 1 / 2 / 3) for day-1 gains
- → **Ind AS 115** — receivables & contract assets → simplified ECL
- → **Ind AS 20** — below-market government loan: benefit = proceeds − Ind AS 109 FV → grant
- → **Ind AS 27** — investments in subs in SFS may be at Ind AS 109 FV
- → **Ind AS 1** — OCI buckets: FVOCI debt / CFH recycle; FVOCI equity / own credit don't

⑪ AAA bridge

Area	Requirement
SA 540	ECL models, SICR, forward-looking data, Level 3 FV — high estimation uncertainty
SA 620 / 500	Valuation / model experts
SA 505	Confirm balances, derivatives with banks / counterparties
CARO 3(iii)	Loans, advances, guarantees, security to others — terms prejudicial? repayment regular? overdue > 90 days?
CARO 3(ix)	Default in repayment of loans / borrowings; wilful defaulter; term loans used for purpose

> ✍ **Write in exam**
> "As per para 5.5.15 of Ind AS 109, the entity shall always measure the loss allowance at an amount equal to lifetime expected credit losses for trade receivables that do not contain a significant financing component (simplified approach)."

#7 · 4.5% of marks

Ind AS 20 — Government Grants

Recognise when **reasonably assured**; match to the **costs it compensates**; never straight to equity.

1 Recognition 7 - 9

→ *Recognise only when **reasonable assurance** that (a) entity **will comply** with conditions, and (b) grant **will be received** 7*

→ ***Receipt alone** is **not** evidence that conditions have been / will be met 8*

→ *Recognise in **P&L on a systematic basis** over periods in which related costs are expensed — **never directly to equity / capital reserve** (income approach) 12*

⚠ TRAP

*Old AS 12 let **promoter's contribution**-type grants go to **capital reserve**. Ind AS 20: **all** grants go through **P&L** (as income or reduced expense / depreciation). Government acting as **owner** → equity contribution, not a grant.*

2 Matching — which period? 16 - 22

Grant for…	Recognise in P&L
Depreciable asset	*Over useful life, in proportion to **depreciation***
***Non-depreciable asset** (land) with conditions (e.g., build a factory)*	*Over periods bearing the **cost of meeting the obligation** — e.g., life of the **building** 18*
*Non-depreciable asset, **no** further conditions*	*When conditions met / receivable*
Package of conditions	*Identify which costs each part compensates 19*
***Expenses already incurred** / immediate support, no future costs*	***P&L when receivable** 20*
Forgivable loan	*Grant when **reasonable assurance** of forgiveness 10*

3 Below-market interest loan 10A

*Loan recognised at **FV under Ind AS 109** (PV at market rate).*

***Grant = proceeds received − initial Ind AS 109 carrying amount** → deferred income, released per the costs it compensates.*

Interest at market rate → finance cost via EIR.

NUMERICAL

4 Presentation 23 – 31

Grant type	Option A	Option B
Related to assets 24	***Deferred income*** — *released to P&L over life*	***Deduct from carrying amount*** — *lower depreciation*
Related to income 29	*Separate credit* / ***other income***	***Deduct from related expense***
Non-monetary *(land, resources)* 23	***Fair value***	***Nominal amount***

Cash flow statement: purchase of asset and receipt of grant shown ***separately****, whichever presentation is used* 28.

5 Repayment of a grant 32

Treated as a ***change in accounting estimate*** *(Ind AS 8) —* ***not*** *a prior-period error.*

Grant type	Repayment treatment
Income-related	*First against any* ***unamortised deferred credit****; excess →* ***P&L immediately***
Asset-related	***Increase asset*** *carrying amount or* ***reduce deferred income****;* ***cumulative extra depreciation*** *that would have been charged without the grant →* ***P&L immediately***

Example

Machine ₹100 L, life 5 yrs, grant ₹20 L (deducted from cost). After 2 yrs grant repaid.

Carrying amount now 80 × 3/5 = ₹48 L → add back ₹20 L → ₹68 L.

Depreciation without grant for 2 yrs = 40; actually charged = 32 → ***extra ₹8 L to P&L now****.*

New carrying amount ₹60 L (= 100 × 3/5) depreciated over remaining 3 yrs.

⚠ TRAP

Repayment may also signal ***impairment*** *of the asset — test under Ind AS 36* 33.

⑥ Scope — what is NOT Ind AS 20

- → **Government assistance** that can't be valued (free technical advice, guarantees) → disclose only 34 - 38
- → **Income-tax benefits** — tax holidays, investment tax credits, accelerated allowances → Ind AS 12
- → **Government as owner** (equity infusion) → equity
- → Grants on **biological assets at FV less costs to sell** → **Ind AS 41** (unconditional → P&L when receivable; conditional → when conditions met)
- → Transactions with government that are normal trading (sales) → Ind AS 115

⑦ Cross-standard links

- → **Ind AS 16 · 28** — grant may reduce PPE cost
- → **Ind AS 109** — FV of government loans; Ind AS 101 exception: below-market loans at transition use previous-GAAP carrying amount
- → **Ind AS 8** — repayment = change in estimate
- → **Ind AS 37** — conditions breached → repayment obligation may be a provision / contingent liability
- → **Ind AS 12** — taxability of grant / deferred income creates TDs
- → **Ind AS 7** — separate presentation of grant receipts

⑧ Disclosures 39

- → Policy and presentation method adopted
- → Nature and extent of grants recognised; other assistance benefited from
- → **Unfulfilled conditions** and other **contingencies**

⑨ AAA bridge

Area	Requirement
SA 250	Compliance with grant conditions (laws & regulations / scheme terms)
SA 500 / 505	Sanction letters, utilisation certificates, confirmations
SA 540	Judgement on "reasonable assurance"; useful life for release pattern
SA 570	Large repayment on breach may affect going concern

> ✍ **Write in exam**
> "As per para 12 of Ind AS 20, government grants shall be recognised in profit or loss on a systematic basis over the periods in which the entity recognises as expenses the related costs for which the grants are intended to compensate. Since the land is granted on condition that a factory is constructed, the grant is recognised over the life of the factory building (para 18)."

#8 · 3.4% of marks

Conceptual Framework (Ind AS)

The "why" behind every Ind AS. Exam answers: define the element → apply the recognition test → name the qualitative characteristic.

1 Status & purpose

- → **Not an Ind AS** — does **not override** any Ind AS. Where conflict, the **Ind AS prevails**
- → Helps standard-setters develop Ind AS; helps preparers develop **policies when no Ind AS applies** (Ind AS 8 para 11(b)); helps users understand

2 Objective of general purpose financial reporting

Provide information useful to **existing and potential investors, lenders and other creditors** in making decisions about **providing resources** — including assessing management's **stewardship** of the entity's economic resources. Information about: economic resources & claims; changes in them (financial performance — accrual basis; cash flows); efficiency & effectiveness of management.

3 Qualitative characteristics

Fundamental

Relevance — predictive value, confirmatory value; **materiality** (entity-specific)

Faithful representation — **complete**, **neutral**, **free from error**. Neutrality is supported by **prudence** = caution under uncertainty — **no** deliberate under / overstatement

Enhancing

Comparability (not uniformity) · **Verifiability** · **Timeliness** · **Understandability**

Enhancing can't make useless info useful. Applied after fundamental ones.

Cost constraint — benefits must justify cost

- → **Substance over form** — faithful representation of the economic phenomenon, not just legal form
- → **Measurement uncertainty** doesn't stop information from being useful — but high uncertainty can affect relevance vs faithful representation trade-off

4 Going concern & reporting entity

- → Underlying assumption: **going concern**; if not, a different basis + disclose
- → Reporting entity: one entity, part of one, or several — **consolidated**, **unconsolidated** or **combined** FS

MOST TESTED

5 The elements

Element	Definition
Asset	A **present economic resource controlled** by the entity as a result of **past events**. Economic resource = a **right** with the **potential** to produce economic benefits
Liability	A **present obligation** to **transfer an economic resource** as a result of **past events**. Obligation = duty the entity has **no practical ability to avoid**
Equity	**Residual** interest in assets after deducting liabilities
Income	Increases in assets / decreases in liabilities → increase in equity, **other than** contributions from equity holders
Expenses	Decreases in assets / increases in liabilities → decrease in equity, **other than** distributions to equity holders

⚠ TRAP

The asset definition needs only **potential** to produce benefits — **not** "**expected / probable**" inflows.

Probability now sits in **recognition** (relevance) and **measurement**, not in the definition.

6 Recognition & derecognition

- → Recognise an item meeting an element definition only if it gives **relevant** information and a **faithful representation** — **no fixed probability threshold**
- → Recognition may **not** give relevant info if: **existence uncertainty**, or **low probability** of inflows / outflows
- → May not give faithful representation if **measurement uncertainty** is very high
- → **Derecognition**: when the entity loses control of the asset / no longer has the present obligation
- → **Unit of account** chosen to give relevant, faithful info (e.g., individual right vs group)
- → **Executory contracts** (equally unperformed) → combined right & obligation; recognised if onerous

7 Measurement bases

Basis	Includes
Historical cost	Cost incl. transaction costs; amortised cost for financial items
Current value	**Fair value** (market participant, exit price) · **Value in use** (assets) / **Fulfilment value** (liabilities) — entity-specific · **Current cost** (entry value)

⑧ Presentation & disclosure

- → ***Statement of profit or loss*** *is the primary source of performance information; income / expense go to P&L by default*
- → ***OCI*** *only in exceptional cases, when a standard requires (e.g., current value changes that make P&L less relevant)*
- → *Rebuttable presumption that OCI items* ***are recycled*** *later — unless no clear basis (hence revaluation surplus, DB remeasurement aren't)*
- → *Classification, aggregation, offsetting — communicate effectively*

⑨ Capital & capital maintenance

Concept	Profit exists only if...
Financial *capital (nominal money)*	*Net assets at end (money) exceed net assets at start, after owner transactions*
Financial *capital (constant purchasing power)*	*Increase exceeds the general price-level increase*
Physical *capital (operating capability)*	*Productive capacity at end exceeds that at start (current cost basis)*

⑩ How ICAI asks it — answer pattern

Scenario	Framework reasoning
Trained workforce / skilled staff as an asset?	***No control*** *over employees → not an asset (recognise cost as expense)*
Future operating losses provision?	*No* ***present obligation*** *from past event → not a liability*
Legal form says sale, but seller keeps risks / buys back	***Substance over form*** *→ financing*
Management wants extra "prudent" provisions	*Prudence ≠ understatement; breaches* ***neutrality***
Lease drafted to dodge covenants (ethics PYQ)	*Faithful representation / substance; Ind AS 116 recognises liability anyway*
Patent with uncertain but possible future benefit	*Meets asset definition (potential); recognition depends on relevance / measurement*

Answer order: **Definition** → **Recognition** → **Measurement** → **Qualitative characteristic** (name it!).

✍ *Write in exam*

"As per the Conceptual Framework, a liability is a present obligation of the entity to transfer an economic resource as a result of past events. Since the entity can avoid the future expenditure by its future actions, there is no present obligation and no liability shall be recognised."

#9 · 3.1% of marks

Ethics — CA in Business (FR Ch 16)

FR asks ethics **through an accounting scenario**. Score = **Ind AS treatment** + **principle breached** + **what the CA should do**.

1 Five fundamental principles

Principle	Means for a CA preparing FS
Integrity	*Straightforward, honest; not associated with **false / misleading** information or omissions*
Objectivity	*No bias, conflict of interest or **undue influence** overriding judgement*
Professional competence & due care	*Keep knowledge current; act diligently per Ind AS; don't undertake beyond expertise*
Confidentiality	*Don't disclose / use information without authority unless legal / professional duty*
Professional behaviour	*Comply with laws; avoid conduct that discredits the profession*

2 Conceptual framework approach

Identify *threats →* ***Evaluate*** *(acceptable level? "reasonable & informed third party" test) →* ***Address*** *(eliminate circumstances, apply safeguards, or **decline / end** the activity)*

3 The five threats — spot them

Threat	Typical FR scenario
Self-interest	*CFO's **bonus / ESOPs** tied to profit or share price; loan from entity; fear of losing job*
Self-review	*Reviewing a business case / valuation you prepared*
Advocacy	*Promoting the entity's position so strongly that objectivity suffers (e.g., to a bank)*
Familiarity	*Close relative is a key supplier / customer; long relationship with a director*
Intimidation	*Directors threaten dismissal / demotion unless numbers are "managed"*

4 Preparing & presenting information

- → Prepare per the **applicable framework**; don't use discretion to **mislead** — e.g., pick estimates, **timing** of transactions, **structuring** to achieve an outcome, or selective disclosure
- → **Relying on others' work** (internal / external) → consider their reputation, expertise, resources; be satisfied it's reasonable
- → Information **is or might be misleading** → consult superior / TCWG; insist on correction; consider policies, legal advice; **refuse to be associated**; consider **resigning**

5 Pressure to breach principles

- → Don't allow pressure from others to make you breach, and **don't pressure** others
- → Respond: discuss with person exerting pressure → escalate to superior / audit committee / TCWG → use whistle-blower / ethics channel → legal advice → **disassociate**

6 Financial interests, inducements, competence

- → **Incentives** linked to reported numbers → self-interest; safeguards: independent review by audit committee, remuneration policy
- → **Inducements** (gifts, hospitality) intended to improperly influence → refuse; inform superior
- → **Lack of expertise / time / resources** → obtain training / help, or decline

7 NOCLAR — non-compliance with laws & regulations

CA	Response
Senior CA in business (CFO, director)	Understand the matter; discuss with superior / TCWG; take steps to rectify, remediate, mitigate, deter; disclose to **external auditor**; determine further action — **may disclose to authority**, may resign; document
Other CA in business	Understand; **inform immediate superior** (or next level if superior involved); may consider further action

Confidentiality does not prevent disclosure where the Code / law permits. Check the Code edition and NOCLAR scope prescribed for your attempt.

8 CA Act misconduct links

- → Professional / other misconduct under the **First & Second Schedules** applies to members in service too — e.g., false / misleading statements, gross negligence, disclosing confidential information, conduct bringing disrepute

9 Recent ICAI scenarios — model reasoning

Scenario	Accounting	Ethics
Channel stuffing — goods to distributors without orders, 180-day credit, right of return (PYQ Jan 2026)	Ind AS 115: control not transferred / returns expected → ***no revenue*** for those	Integrity, objectivity; misleading info; escalate
Marketing spend deferred as an asset	Not an asset (Ind AS 38 / CF) → ***expense***	Window dressing
Loan to director shown as cash equivalent to impress bank (MTP Jan 2026)	Ind AS 7: not short-term, highly liquid → ***financial asset*** (Ind AS 109)	Integrity, objectivity, professional behaviour; ***intimidation / advocacy*** threats
Lease drafted to avoid covenant breach (MTP May 2025)	Ind AS 116: lease liability recognised regardless of drafting; ***substance***	Integrity; faithful representation; refuse, escalate
CFO bonus tied to profit; pressure to delay impairment	Ind AS 36: test & recognise impairment	***Self-interest + intimidation***; audit committee

10 The 3-part answer template

1. Accounting position — what the Ind AS requires and why the proposed treatment is wrong (cite para).
2. Ethical issue — which **principles** are threatened and which **threats** exist (self-interest, intimidation…).
3. Action — discuss with management → escalate to audit committee / TCWG → refuse to be associated with misleading info → legal advice / whistle-blower → resign if unresolved; document.

Never stop at "it's unethical" — **fix the accounting first**, then name the principle, then the action.

✍ Write in exam

"The proposal to record revenue on goods shipped without confirmed orders and with a right of return contravenes Ind AS 115, as control has not transferred. As a Chartered Accountant, the CFO must comply with the fundamental principles of integrity and objectivity and must not be associated with information that is materially false or misleading. He should raise the matter with the Board / Audit Committee, insist on correction, and if unresolved, consider legal advice and disassociating himself."

#10 · 3.1% of marks

Ind AS 23 — Borrowing Costs

Capitalise borrowing costs **directly attributable** to a **qualifying asset** — **mandatory**, not a choice. Everything else → P&L.

1 Definitions 5 - 7

- → ***Qualifying asset***: necessarily takes a ***substantial period*** to get ready for intended use / sale (judgement; no fixed months in the standard) — plants, power stations, investment property, intangibles, inventories needing long production
- → ***Not*** qualifying: assets ready when acquired; financial assets; inventories produced over a short period
- → ***Borrowing costs*** include: interest via ***EIR*** (Ind AS 109), interest on ***lease liabilities*** (Ind AS 116), ***exchange differences*** on foreign-currency borrowings ***to the extent regarded as an adjustment to interest cost*** 6(e)
- → ***Cost of equity*** (incl. preference shares classified as equity) is ***not*** a borrowing cost

Exchange difference cap 6A

Adjustment to interest = (interest on equivalent ***local-currency*** borrowing) − (actual foreign-currency interest). Exchange loss capitalised up to that difference; rest → P&L. Gain / loss computed ***cumulatively*** — a later gain reverses earlier capitalised loss only up to that amount.

2 Optional scope exclusions 4

- → Qualifying assets measured at ***fair value*** (e.g., biological assets)
- → ***Inventories*** manufactured in ***large quantities on a repetitive basis***

3 How much to capitalise 10 - 15

Borrowing	Amount capitalised
Specific	***Actual*** borrowing costs ***less*** investment income on ***temporary*** investment of unspent funds
General	***Capitalisation rate*** × expenditure on the asset (weighted for time). Rate = weighted average cost of general borrowings, ***excluding*** specific ones ***until the asset is substantially complete*** (2019 amendment)

- → Amount capitalised ≤ ***borrowing costs actually incurred***
- → Expenditure = cash paid, assets transferred, interest-bearing liabilities assumed — ***reduced by progress payments & grants*** 18

NUMERICAL

4 Commence · Suspend · Cease 17 – 25

Stage	Rule
Commence	When **all three**: expenditure incurred + borrowing costs incurred + activities to prepare the asset undertaken (incl. technical / admin work before construction, e.g., permits)
Suspend	During **extended** periods when **active development is suspended**. **Not** for temporary delays that are a necessary part of the process (e.g., high water levels typical of the region) or when substantial technical / admin work continues
Cease	When **substantially all** activities to prepare the asset are **complete** (minor modifications / decoration left). Parts completed & usable while rest continues → cease for **that part**

⚠ TRAP

Holding **land** without development activity → **no** capitalisation (land itself isn't qualifying once development stops). Strike / dispute halting work for months → **suspend**. Monsoon break normal for the area → **don't suspend**.

5 Worked example — general borrowings

General borrowings outstanding all year	Interest
₹500 L at 10%	₹50 L
₹300 L at 12%	₹36 L
Capitalisation rate = 86 / 800	**10.75%**

Expenditure on qualifying asset	Weighted
₹200 L on 1 Apr (12/12)	₹200 L
₹240 L on 1 Oct (6/12)	₹120 L
Weighted expenditure	**₹320 L**
Capitalised = 320 × 10.75%	**₹34.4 L** (≤ ₹86 L actual ✓)

6 Links & AAA

- → **Ind AS 16 / 38 / 2** — capitalised into cost; **Ind AS 109** — EIR basis; **Ind AS 116** — lease interest; **Ind AS 101** — option to retain previous-GAAP capitalised amounts
- → **Ind AS 20** — grants reduce expenditure base
- → AAA: **CARO 3(ix)(c)** term loans applied for purpose; **3(ix)(d)** short-term funds not used for long-term purposes; SA 540 judgement on "substantial period" / suspension

✍ Write in exam

"As per para 20 of Ind AS 23, an entity shall suspend capitalisation of borrowing costs during extended periods in which it suspends active development of a qualifying asset; however, capitalisation is not suspended when a temporary delay is a necessary part of the process of getting the asset ready (para 21)."

#11 · 2.8% of marks

Accounting & Technology

ICAI asks: "**which technology** fits this scenario and **why**?" Match the pain point to the tool, then explain how it works step by step.

① Scenario → tool (ICAI's own answers)

Pain point in the question	Tool	Why (ICAI reasoning)
Many subs (incl. foreign) — CFS must be **accurate, consistent, timely** (PYQ Sep 2025; MTP Nov 2026)	**RPA**	Bots extract each sub's data → currency conversion → identify & **eliminate intra-group** items (Ind AS 110) → compute **NCI**, OCI split → generate consolidated BS, P&L, SOCE, CFS
Finance teams in different locations working on same workings	**Cloud collaboration** (Teams, Google Workspace)	Real-time updates, **version control / audit trail**, access controls for sensitive data
Sensitive customer data (personal, transaction records) in a financial institution (PYQ Sep 2025)	**Blockchain**	Secure, encrypted network; cryptographic algorithms & consensus → integrity, no unauthorised access / tampering / loss; trust of customers & regulators
Data / software needed from any device; remote work	**Cloud computing**	Services delivered over the internet
Disconnected departments, duplicate data entry	**ERP**	Single integrated database across modules; real-time info
Fraud / anomaly detection, forecasting, document reading	**AI / data analytics**	Pattern recognition on full populations

② Cloud computing (PYQ May 2026 — 5 marks)

Definition: delivery of computing services **over the internet**, letting accountants access data & software **from any device** with internet — kept accounting & reporting running during lockdown.

- → **Cloud storage** — Dropbox, Google Drive, OneDrive
- → **SaaS** — Salesforce (CRM), Slack, QuickBooks Online
- → **IaaS** — AWS, Azure, Google Cloud (pay-as-you-go servers)
- → **PaaS** — Azure App Service, Google App Engine
- → **Communication & collaboration** — Teams, Workspace, Zoom
- → **Cloud e-commerce** — online stores, payments, inventory
- → **Big data analytics** — Redshift, BigQuery, Azure Data Lake
- → **Content streaming** — e.g., Netflix

Benefits: reduced costs (no hardware), scalability, anywhere access, real-time collaboration, improved reporting & analytics, automatic backup / updates.

3 ERP & controls (MTP Nov 2026 weaknesses)

Weakness flagged	Fix
Journal vouchers not standardised	Standard JV **templates**, mandatory fields, maker-checker approval
Changes to closing / reporting process not authorised	**Change management** with approval workflow & logs
Roles of finance staff undocumented	Documented roles, **segregation of duties** matrix
GL user access never reviewed	**Periodic user-access review**; remove leavers; least privilege
Inventory counts slow / error-prone	**Barcode / RFID** tracking linked to ERP

ERP benefits: unified database, lower management & operational costs, real-time reporting, standardised processes, better compliance.

4 Cybersecurity in accounting

Threats

Phishing · ransomware · malware · insider threats · weak passwords / credential theft · unpatched systems · data breaches

Proactive measures

MFA & access controls · encryption · staff training · patching · regular backups · firewalls / monitoring · incident-response plan

5 Blockchain & AI in reporting

- → **Blockchain**: distributed, tamper-evident ledger → **transparency**, immutability, **real-time reporting**, fewer reconciliations (shared ledger with counterparties), **smart contracts** auto-executing terms
- → **AI**: automated data capture (invoices), anomaly / fraud detection, predictive forecasting, chatbots, continuous audit
- → **Automation / RPA**: rule-based repetitive tasks — bank recs, intercompany matching, closing entries; facilitates **compliance**

6 Law link — audit trail

- → Companies (Accounts) Rules: accounting software must have an **audit trail (edit log)** that **cannot be disabled** (from 1 Apr 2023); auditor reports on it under **Rule 11(g)** of Audit & Auditors Rules
- → Electronic books: backup on servers **physically located in India**, on a **daily** basis

Answer shape: **Name the tool → how it works in THIS scenario (steps) → benefit to accuracy / speed / security.** Tie to Ind AS where the question does (e.g., Ind AS 110 eliminations).

Nov 2026 attempt

Ind AS 1 — Presentation of FS

Only what gets examined + what confuses. Read once, close the book, recall.

1 Complete set of FS para 10

1. Balance Sheet
2. Statement of P&L **incl. OCI — ONE statement**
3. Statement of Changes in Equity
4. Cash Flow Statement
5. Notes (**material** accounting policy info)
6. Comparatives of previous period

Third Balance Sheet 40A

Needed only if **ALL**:

→ retrospective policy change / restatement / **reclassification**

→ MATERIAL effect on opening BS of comparative year

Dated **start of preceding period**

(FY 24-25 FS → 1 Apr 2023). No notes needed except Ind AS 8 disclosures.

2 Indian carve-outs vs IAS 1

Point	IAS 1	Ind AS 1
P&L and OCI	1 or 2 statements	**Single statement only**
Analysis of expenses	Nature or function	**Nature only** 99
Covenant breach on/before RD, lender waives **after RD but before approval**	**Current**	**Non-current** 74

3 Going concern 25-26

Assess **at least 12 months from end of reporting period** (minimum, not a limit)

Material uncertainty but GC still OK → **use GC + disclose uncertainty**

Intends to liquidate / cease, **or no realistic alternative** → **NOT going concern basis**

Disclose: **fact + basis used + reason**

Uncertainty → DISCLOSE. No realistic alternative → CHANGE BASIS.

4 One-liners that fetch marks

- → **Extraordinary items — PROHIBITED** 87. Exceptional items may be shown (Sch III).
- → **No offsetting** unless an Ind AS requires/permits 32. OK: gain/loss on disposal of NCA shown net; expense net of Ind AS 37 reimbursement.
- → **Materiality:** material items shown separately; immaterial item → no disclosure even if an Ind AS lists it.
- → **Change in presentation:** reclassify comparatives + disclose nature, amount, reason 41 (impracticable → say why).
- → **Material** accounting policy info (2023 amendment) — ~~significant~~. Standardised text that just repeats Ind AS = not material.
- → **Departure from Ind AS** 19 — only "extremely rare" misleading case, framework must not prohibit; heavy disclosure.
- → **Judgements** 122 ≠ **estimation uncertainty** 125 (risk of material adjustment **within next year**).
- → **Capital management** disclosure 134–136. **Dividends** proposed after RD + **arrears of cumulative pref.** → notes 137.

5 The tests 66 · 69

ASSET is current if ANY:

- realised in normal operating cycle
- held for trading
- realised within 12 months
- cash / CE (unless restricted ≥ 12 m)

LIABILITY is current if ANY:

- settled in normal operating cycle
- held for trading
- due within 12 months
- **no RIGHT at RD to defer ≥ 12 m** 69(d)

- → Operating cycle **not identifiable** → **assume 12 months** 68 · 70
- → Trade payables, accrued employee cost in operating cycle → **current** even if due > 12 m
- → **Deferred tax** → **NEVER current** 56
- → Counterparty's conversion option **classified as equity** → ignored for classification 69(d)

MOST EXAMINED

⑥ Loan classification — every permutation

#	Situation (RD = 31 Mar)	Result	Para
1	Unconditional refinancing **signed on/before RD**	**Non-current**	69(d)
2	**Existing** facility, roll-over at **entity's own discretion** ≥ 12 m & intends to	**Non-current**	73
3	Roll-over needs **lender's** approval / no facility	**Current**	73
4	Signed before RD but **conditional** (bank credit committee approves after RD)	**Current**	no right at RD
5	Only **discussions** at RD → refinanced after RD, **before** approval	**Current**	72 · disclose 76
6	Discussions at RD → refinanced **after FS approved**	**Current**	no refi note; liquidity / GC
7	Breach on/before RD; **grace agreed by RD**, ends **≥ 12 m** after RD	**Non-current**	75
8	Breach; grace agreed by RD but ends **< 12 m** after RD	**Current**	75
9	Breach on/before RD; lender waives **after RD, before approval**	**Non-current**	**74 carve-out**
10	Breach; waiver **after FS approved**	**Current**	window closed
11	Breach happens **after RD** (covenant tested in April)	**Non-current**	Ind AS 10 non-adj
12	Instalment loan (₹10 cr due in 12 m of ₹50 cr)	₹10 **C** / ₹40 **NC**	current maturities

REFINANCE = CREATE a new right → **Current**
WAIVER = RESTORE the old 2029 loan → **Non-current**

📷 **Photograph test:** the BS is a photo at midnight 31 Mar. A right signed in April is a **new photo** — can't edit the old one.

⚠ **TRAP**

Approval date **NEVER changes refinancing** classification (always current) — it only decides disclosure.

In **breach-waiver**, approval date **DOES flip** it (before → NC, after → C).

"Exactly 12 months" grace = **at least 12** → **NC**.

ASKED EVERY ATTEMPT

7 OCI — the two buckets 82A

Will NOT be reclassified to P&L	WILL be reclassified to P&L
Revaluation surplus (Ind AS 16 / 38)	Cash flow hedge — effective portion
Remeasurement of defined benefit plans	FVOCI **DEBT** instruments
FVOCI **EQUITY** instruments	Foreign operation translation difference
Own credit risk — FVTPL liability	Cost of hedging (time value / forward points)

→ **Tax on OCI:** per item **or** per bucket — never one lump for all OCI.

→ **Reclassification adjustment** = amount recycled from OCI to P&L in current period — disclose.

⚠ TRAP

Revaluation surplus never recycles — may be transferred **directly to retained earnings** (within equity), not via P&L.

FVOCI equity: gain stays out of P&L **even on sale**. **FVOCI debt**: recycled on sale.

Memory: "DEBT comes back, EQUITY never does."
Hedge & Forex also come back (they were always "temporary").

8 Exam-ready sentences

✍ Write in exam

Refinancing after RD: "As per para 69(d) of Ind AS 1, the right to defer settlement must exist at the end of the reporting period. Since the refinancing agreement was concluded after the reporting period, the loan is classified as current (para 72); the refinancing is a non-adjusting event and is disclosed as per para 76 read with Ind AS 10."

✍ Write in exam

Breach waiver: "As per the Indian carve-out in para 74 of Ind AS 1, since the lender agreed after the reporting period but before approval of the financial statements for issue not to demand payment as a consequence of the breach, the liability shall not be classified as current."

✍ Write in exam

Going concern: "Management has identified material uncertainties that may cast significant doubt on the entity's ability to continue as a going concern; the FS are prepared on a going concern basis and these uncertainties are disclosed (para 25)."

9 60-second recall checklist

- ☐ 6 components
- ☐ GC: disclose vs change
- ☐ OCI 4 + 4 items
- ☐ 3rd BS: 2 conditions
- ☐ 12-row loan table
- ☐ Extraordinary banned
- ☐ 3 carve-outs
- ☐ DT never current
- ☐ Material policy info

#13 · 2.8% of marks

Ind AS 105 — Held for Sale & Discontinued Ops

Classify (strict criteria) → measure at **lower of** CA and FV − CTS → **stop depreciation** → present separately.

1 HFS criteria — ALL must be met at RD 6 - 8

Available for immediate sale

In **present condition**, on usual / customary terms (e.g., not still under construction, not needing major repair the buyer demands)

Sale highly probable

- Management (appropriate level) **committed to a plan**
- **Active programme** to locate a buyer started
- **Actively marketed** at a **reasonable price** vs FV
- Completion expected **within 1 year**
- Significant changes / withdrawal **unlikely**
- Shareholder approval probability considered

→ **> 1 year** allowed if delay due to **events beyond control** and entity **remains committed** 9 · App B

→ Asset acquired exclusively for resale → HFS at acquisition if 1-year test met and others met **within a short period (≈ 3 months)** 11

→ Criteria met **after RD** (before approval) → **not HFS** at RD; disclose (Ind AS 10 non-adjusting) 12

→ **Abandoned** assets → **not HFS** (recovered through use) — but may be a **discontinued operation** when abandoned 13

→ **Held for distribution to owners** → same treatment (FV less costs to distribute) 12A

2 Measurement 15 - 25

→ Just before classification → measure under **applicable Ind AS** (depreciate, impair)

→ Then: **lower of carrying amount and FV less costs to sell**

→ Write-down → **impairment loss in P&L**; later increase in FV − CTS → **gain** but **only up to cumulative losses** recognised (Ind AS 105 + earlier Ind AS 36)

→ **No depreciation / amortisation** while HFS; interest & other expenses of liabilities in a disposal group continue

→ Sale beyond 1 year → costs to sell **discounted**; unwinding → finance cost

3 Disposal groups

- → Group of assets (+ directly associated liabilities) disposed together in one transaction
- → Impairment loss allocated to **non-current assets in scope** in Ind AS 36 order: **goodwill first**, then pro rata 23
- → **Measurement-scope exclusions** (keep own standard): DTA, employee-benefit assets, Ind AS 109 financial assets, biological assets at FV – CTS, insurance contracts 5
- → Plan to sell a **subsidiary** with loss of control → classify **all** its assets & liabilities as HFS, even if a non-controlling stake is retained 8A
- → Investment in associate / JV becoming HFS → **stop equity method** for that portion (Ind AS 28 · 20)

4 Change of plan 26 - 29

No longer HFS → measure at **lower of**: (a) carrying amount **before** classification, **adjusted** for depreciation / amortisation / revaluation that would have been recognised; and (b) **recoverable amount** at the date of decision. Adjustment → **P&L from continuing operations**.

5 Discontinued operation 32

A **component** disposed of / HFS that: is a **separate major line of business or geographical area**; or part of a single plan to dispose of one; or a **subsidiary acquired exclusively for resale**.

6 Presentation – the comparatives trap

Statement	Presentation	Comparatives?
P&L	**Single amount**: post-tax profit / loss of DO + post-tax gain / loss on remeasurement / disposal; analysis in notes 33	**RE-PRESENTED** 34
Balance sheet	HFS assets and HFS liabilities **separately**; **not offset**; OCI accumulated shown separately 38	**NOT restated** 40
Cash flows	Net operating, investing, financing cash flows of DO disclosed	**Re-presented**

P&L tells a **story over time** → re-present comparatives. Balance sheet is a **photo on the date** → leave last year's photo alone.

7 Links & AAA

- → **Ind AS 16** – depreciation stops on HFS; **Ind AS 36** – goodwill-first allocation; **Ind AS 10 / 105 · 12** – post-RD criteria; **Ind AS 33** – EPS for DO; **Ind AS 108** segments
- → AAA: **SA 540** (FV – CTS); **SA 580** (management's intent); **SA 570** if major operations discontinued

✍ **Write in exam**

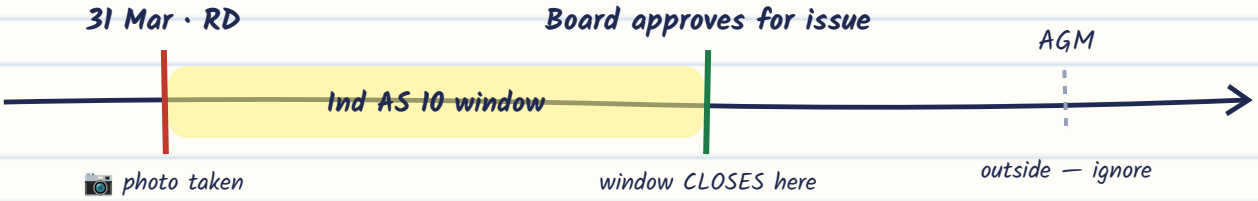
"As per para 15 of Ind AS 105, a non-current asset classified as held for sale shall be measured at the lower of its carrying amount and fair value less costs to sell, and as per para 25 it shall not be depreciated while so classified."

Nov 2026 attempt

Ind AS 10 — Events after Reporting Period

One question decides everything: **did the condition exist on the reporting date?**

① The window



→ Approval date = when **Board authorises issue**, even if shareholders approve later [5]
→ If management issues to a supervisory board first → date management authorises issue to it [6]
→ Window includes events **after public announcement of profit** [7]
→ Event after FS approved → **not in these FS at all**; next year's problem.

② Adjusting events [3(a) · 8 · 9]

New **evidence** about a condition that **already existed** at RD → **change the numbers**.

¶	Example	Why it is old
(a)	Court case settled after RD	obligation existed at RD → adjust provision (Ind AS 37)
(b)(i)	Customer bankrupt after RD	**usually** confirms loss at RD
(b)(ii)	Inventory sold after RD below cost	evidence of NRV at RD
(c)	Cost of asset bought / proceeds of asset sold **before RD**, fixed after	transaction already happened
(d)	Bonus / profit-sharing fixed after RD	if legal/constructive obligation at RD
(e)	Fraud or error discovered	FS were wrong at RD

③ Non-adjusting events 3(b) · 10 · 11 · 22

A **new condition** arising after RD → **no change to numbers; disclose if material.**

- → Fall in **fair value of investments** 11
- → Major business combination / disposal of subsidiary
- → Plan to **discontinue** an operation announced
- → Major asset purchases, **HFS classification**, expropriation
- → **Fire** destroying a major plant
- → Major **restructuring** announced / commenced
- → Major ordinary share transactions
- → Abnormal changes in asset prices / **FX rates**
- → **Tax rate** changes enacted after RD
- → Big commitments / guarantees; litigation from post-RD events

Adjusting events **explain the past.** Non-adjusting events **change the future.**

④ Look-alike twins — trace the CAUSE, not the date

ADJUSTING (cause existed at RD)	NON-ADJUSTING (cause arose after RD)
Customer insolvent in April; was already in difficulty on 31 Mar	Customer healthy on 31 Mar; **fire in April** → insolvent
Inventory sold below cost in April; value already low	**Govt ban in April** → sold as scrap
Court rules on a case **pending at RD**	New lawsuit from an **April incident**
Prior-year fraud found in May → restate (Ind AS 8)	Market crash in April cuts investment values
Breach on/before RD, waived before approval **(Indian carve-out)**	Loan **refinanced** after RD

⚠ TRAP

Para 9(b)(i) says bankruptcy "**usually**" confirms a year-end loss — **usually ≠ always.** If the customer was healthy at RD, it is **non-adjusting.**

Ask: **"Was this already true at midnight on 31 March?"** Yes → adjust. No → disclose.

5 Going concern override 14–16

After RD, management **intends to liquidate / cease** or has **no realistic alternative** → **do NOT prepare on GC basis**.

Only exception to the photo test — it changes the **basis**, not just a figure. No formal resolution needed.

6 Dividends 12–13

Declared after RD → **NOT a liability** (no obligation at RD) → disclose (Ind AS 1 para 137).

Board recommends final dividend **before** RD, AGM after → **still not a liability**. Interim declared by Board before RD → liability.

7 Cross-standard links (where marks hide)

Event after RD	Treatment
Bonus issue / split before approval	Non-adjusting for BS, **but EPS restated retrospectively** (Ind AS 33 para 64)
HFS criteria met after RD	Not HFS at RD; disclose (Ind AS 105 para 12)
Restructuring announced after RD	No provision at RD (Ind AS 37); disclose
New tax rate enacted after RD	DT at rates enacted / substantively enacted **by RD** (Ind AS 12); disclose
Prior-period error found	Adjusting; restate comparatives (Ind AS 8); 3rd BS if material (Ind AS 1 40A)

8 Disclosures 17–22

- → **Date of approval & who approved**; if owners can amend FS after issue, say so 17
- → New info about conditions at RD → **update disclosures** 19
- → Material non-adjusting: **nature + estimate of financial effect** (or statement that it can't be estimated) 21

> ✍ **Write in exam**
> "The event does not provide evidence of conditions that existed at the end of the reporting period; hence it is a non-adjusting event as per Ind AS 10. Its nature and an estimate of its financial effect are disclosed (para 21)."

9 Approval-date nuances 5 · 6 · 7

→ Window closes at **Board approval** — ~~audit report date~~, ~~AGM~~.

→ Supervisory board of non-executives → date **management authorises issue to it** 6

→ Events after **public announcement of profit** but before approval → **still inside** 7

→ Error found **after** approval → outside Ind AS 10 → **Ind AS 8 restatement next year**.

10 Trace the obligating event

Case	Treatment
Accident **Feb**, workers sue in **April**	**Adjusting — provide (Ind AS 37) if probable**
Accident in **April**, suit in May	**Non-adjusting** 22(j)
Restructuring plan **approved & announced before RD**, costs fixed April	**Adjusting — provide**
Restructuring **announced after RD**	**Non-adjusting** 22(e)
Guarantee: guaranteed party **already in default in March**, known in April	**Adjusting — provision + update disclosure** 19
Fire in April **+ insurance recovery**	**Ignore BOTH; disclose net effect**
Sharp FX move in April on USD receivables	**Non-adjusting; closing rate stands** 22(g)
Subsidiary declares dividend after RD	**Parent: no income at RD (right to receive later)**

11 Share transactions after RD

Bonus / split / reverse split

Share capital at RD **unchanged**, but **EPS restated** for all periods Ind AS 33 · 64

Rights issue

No EPS restatement; disclose only Ind AS 33 · 70(d)

Carve-out lives in **both**: Ind AS 1 para 74 (classification) **and** Ind AS 10 (lender's waiver after RD = **adjusting**).

TRAP

Para 19: info about a condition **existing at RD** updates **disclosures** too — not just numbers.

12 Fire destroys main factory — GC ladder (management)

Management concludes (before approval)	FY 24-25 FS
GC unaffected (insured / rebuild)	Non-adjusting; disclose nature + estimated effect 21
Material uncertainty, GC still OK	GC basis; disclose fire + **material uncertainty** 16(b) + Ind AS 1 25
Intends / **no realistic alternative** to cease	**NOT GC basis — fundamental change of basis** 14 · 15

The fire **never adjusts.** Going concern can **override.**

13 Four zones — who does what

RD → **Board approves** (Sec 134) → **Auditor signs** (never before approval) → **FS issued** → AGM

Zone	Management (Ind AS)	Auditor (SA 560 / 570)
A RD → approval	Inside window → GC ladder	**Active** duty (560 · 6-8); evaluate GC (570)
B approval → signing	Window closed for approved FS → **amend & re-approve** re-opens it	Still **active** till report date. Refuse → modify (570 · 21/23)
C signing → issue	Should amend & re-approve	**Passive** (560 · 10): new report or **dual dating** (11-12); not amended → modify / tell not to issue / prevent reliance (13)
D after issue	Next year's FS; ~~Sec 131~~ (FS were compliant)	560 · 14-17: new report with EOM / OM if amended

14 SA 570 reporting

Situation	Opinion
GC OK, material uncertainty **adequately disclosed**	**Unmodified + "Material Uncertainty Related to GC" section** 22
Uncertainty **not adequately disclosed**	**Qualified / Adverse** 23
GC basis used but **inappropriate**	**Adverse** 21
Liquidation basis, appropriate, disclosed	**Unmodified (EOM optional)**
Management refuses / won't extend assessment	**Qualified / Disclaimer** 24

⚠ TRAP

Material uncertainty → separate **MURGC section, not an EOM.** **CARO 3(xix)**: material uncertainty **as on audit report date** → a post-RD fire feeds it even though Ind AS 10 calls it non-adjusting.

Management's window closes at **approval**; auditor's eyes stay open till **signing.** Before signing → **search.** After → **react.** After issue → **prevent reliance.**

Nov 2026 attempt

Ind AS 8 — Policies, Estimates & Errors

The whole standard is one question: **policy, estimate or error?** Get that right and the treatment follows.

1 The three-way split

	Change in POLICY	Change in ESTIMATE	Prior-period ERROR
What	*Principles, bases, conventions, rules*	*Monetary amount **subject to measurement uncertainty** (2023)*	*Omission / misstatement from not using reliable info that was available*
How	***Retrospective***	***Prospective***	***Retrospective restatement***
Current P&L hit?	*No → opening equity*	***Yes***	*No → opening equity*
3rd BS?	*If material to opening BS*	*Never*	*If material to opening BS*

*Can't tell policy from estimate? → treat as **ESTIMATE** (para 35)*

2 When can a policy change? 14 · 16

Only if:
- → ***required*** by an Ind AS, or
- → gives ***reliable & more relevant*** info

NOT a policy change:
- → transactions ***different in substance***
- → transactions ***new*** or previously ***immaterial***

3 Classify it — exam favourites

Change	Answer
FIFO → weighted average (Ind AS 2)	***Policy — retrospective***
SLM → WDV depreciation	***Estimate — prospective*** Ind AS 16 · 61
Useful life / residual value / ECL / warranty rate	***Estimate — prospective***
*Cost model → **revaluation** (Ind AS 16 / 38)*	*Policy, but **NOT retrospective** — treat as revaluation* 17
*Revaluation → **back to cost***	***Voluntary policy — retrospective (para 17 is one-way)***
Investment property cost → FV	***Not allowed — Ind AS 40 = cost model only***
Measurement basis change (cost → FV)	***Policy, not estimate*** 35
*Valuation **technique / input** change, same basis*	***Estimate*** 34A
Early adoption of a new Ind AS	*Not voluntary — follow its transition rules*
Policy change on first-time adoption	*Ind AS 101 governs, not Ind AS 8*

4 No Ind AS applies? 10 - 12

*Use judgement → info that is **relevant & reliable**. Refer in this order:*

1. ***Ind AS** dealing with **similar** issues*
2. ***Conceptual Framework** definitions & recognition / measurement criteria*
3. *May consider: **latest IASB pronouncements** (India puts IASB first) → other standard-setters with similar framework → literature & industry practice — **if not conflicting***

5 Estimates — 2023 amendment 32 - 38

→ *Estimate = **monetary amount subject to measurement uncertainty**.*

→ *Change in **input** or **measurement technique** = change in estimate, **unless** it corrects an error 34A*

→ *Recognise in P&L of period of change (and future periods if both affected) 36*

⚠ TRAP

***Hindsight ≠ error** 48. Provision ₹2 cr at 31 Mar 2024 on best evidence; case settles ₹5 cr in Nov 2024 → extra ₹3 cr in **FY 24-25 P&L**. No restatement.*

6 Errors — correction mechanics 41 - 49

→ *Correct in **first FS approved after discovery** 42:*

- *restate **comparatives** for the period(s) the error occurred, or*
- *if before earliest period presented → restate **opening balances of earliest period***

→ ***Impracticable** → restate from earliest practicable period 43 - 45*

→ *Error in **current year** found before approval → just correct current figures (not a prior-period error)*

⚠ TRAP

***Intentional immaterial errors** to achieve a particular presentation → FS **do not comply** 41. Materiality doesn't save intent. (Audit: SA 450 — qualitatively material; SA 240.)*

Disclosure of error 49

- *nature of the error*
- *correction **per line item** and **basic & diluted EPS**, each prior period presented*
- *correction at **start of earliest period***
- *if impracticable — why; **no need to repeat** in later years*

⑦ Same error, found at different times

Error: FY 23-24 revenue overstated ₹6 cr. Current FS = FY 24-25 (comparative FY 23-24).

Discovered	Treatment
During FY 24-25	*Restate FY 23-24 comparatives in FY 24-25 FS; 3rd BS if material to 1 Apr 2023*
*After 31 Mar 2025, **before** approval*	***Ind AS 10 adjusting** (9(e)) + Ind AS 8 restatement in FY 24-25 FS*
***After** FY 24-25 approval*	*Correct in **FY 25-26** FS — restate FY 24-25 comparatives*
*Error arose in **FY 21-22**, still in balances*	*Restate **opening balances at 1 Apr 2023** + 3rd BS if material*

⑧ Restatement ≠ Revision ≠ Reopening

Route	Who / how	Key points
Ind AS 8 restatement	*Management, in current FS*	*Comparatives / opening balances restated. **Old FS NOT reissued.***
Sec 131 revision	***Voluntary** — company applies to **Tribunal***	*FS of **any of 3 preceding FYs** not complying with Sec 129 / 133; **once a year**; reasons in Board's report*
Sec 130 reopening	***Forced** — Court / Tribunal order on application of CG, tax authority, SEBI, other regulator*	*Accounts **fraudulent** or affairs **mismanaged**; generally up to **8 preceding FYs***

⚠ TRAP

*From FY 24-25, the 3 preceding FYs = **23-24, 22-23 and 21-22** → an FY 21-22 error is **inside** the Sec 131 window. But Ind AS 8 **never requires** revision — Sec 131 is the company's **choice**.*

Policy = Past restated
Estimate = Ever-after
Error = Erase & rewrite comparatives

*Ind AS 8 fixes the **comparatives**.*
*Sec 131 fixes the **old FS** (voluntary).*
*Sec 130 is **forced**.*

9 Auditor's response

Situation	Where / what
Prior-year error; last year **unmodified**; comparatives **NOT restated**	**Qualified / Adverse re corresponding figures** SA 710 · 12
Same, **properly restated** & disclosed	**Unmodified; EOM may refer to disclosure** SA 710 · A8
Last year's opinion **modified**, matter unresolved	**Modify current opinion too** SA 710 · 11
New auditor finds error in opening balances	**SA 510** — opening balances & current-period effect
Error found after prior-year FS issued	**SA 560 · 14–17** — discuss; new report with EOM / OM if amended
Uncorrected prior-year misstatements	**SA 450** — effect on current period; intentional = qualitatively material
Error is **fraud** by officers / employees	**SA 240; Sec 143(12)**: **≥ ₹1 cr → Central Government**; below → Audit Committee / Board; CARO 3(xi)
Early adoption of new standard, pervasive effect	**SA 706** — EOM may be included

10 Exam-ready sentences

✍ **Write in exam**

Error: "As per para 42 of Ind AS 8, a material prior period error shall be corrected retrospectively in the first set of financial statements approved for issue after its discovery, by restating the comparative amounts for the prior period presented in which the error occurred, or, if it occurred before the earliest period presented, the opening balances of assets, liabilities and equity for the earliest prior period presented."

✍ **Write in exam**

Estimate: "The change in depreciation method is a change in accounting estimate (Ind AS 16 para 61) and shall be applied prospectively by including its effect in profit or loss of the period of change and future periods (Ind AS 8 para 36)."

✍ **Write in exam**

AAA: "Since the corresponding figures have not been restated for a material misstatement in the prior period financial statements on which an unmodified opinion was issued, the auditor shall express a qualified or adverse opinion, modified with respect to the corresponding figures (SA 710 para 12)."

Nov 2026 attempt

Ind AS 16 — Property, Plant & Equipment

Cost in → depreciate by component → revalue by class → derecognise. Traps live at every arrow.

① Recognition 7 · 8 · 12 – 14

- → Recognise if **probable future economic benefits + cost measured reliably** 7
- → **Spares, stand-by & servicing equipment** → PPE if used **> 1 period**; else inventory 8
- → **Day-to-day servicing** (labour, consumables, small parts) → **P&L** 12
- → **Replacement of a part** → capitalise new part, **derecognise the replaced part** — even if not depreciated separately (use replacement cost as a guide to old part's cost) 13 · 70
- → **Major inspection / overhaul** → capitalise; derecognise remaining carrying amount of the **previous inspection** 14

② What goes into cost 16 – 22

IN ✓

- Purchase price + import duties + **non-refundable** taxes − trade discounts/rebates
- Directly attributable: site prep, delivery, installation, **testing**, professional fees, employee costs arising directly
- Initial estimate of **dismantling / restoration** (Ind AS 37)
- Borrowing costs on qualifying asset (Ind AS 23)

OUT ×

- Opening a new facility; new product launch / advertising
- New location / new customer class, **staff training**
- Admin & general overheads
- Costs **after** asset can operate as intended: **initial operating losses**, relocation, under-utilisation 20
- Abnormal waste in self-construction; **incidental operations** → P&L 21

⚠ TRAP

2022 amendment: sale proceeds of items produced while testing are **NOT deducted** from cost — recognise the proceeds and their cost (Ind AS 2) in **P&L**. Testing cost (is it functioning properly?) is still capitalised.

③ Special acquisitions

- → **Deferred payment** beyond normal credit → cost = **cash price equivalent**; difference = interest (unless Ind AS 23) 23
- → **Exchange of assets** → **fair value**, unless it **lacks commercial substance** or FV not reliably measurable → **carrying amount of asset given up** 24
- → **Government grant** → may deduct from cost (Ind AS 20) 28
- → **Bearer plants** → Ind AS 16; **produce** on them → Ind AS 41

NUMERICAL FAVOURITE

4 Cost model vs Revaluation model 29 - 42

→ Choice is by **entire class** (land, buildings, machinery...) — revalue the whole class **simultaneously** (rolling basis OK if completed in short period) 36 · 38

→ Carrying amount = **FV at revaluation date − later acc. depreciation − later impairment** 31

→ Frequency: so that carrying amount doesn't differ **materially** from FV

Accumulated depreciation on revaluation 35

(a) Restate gross carrying amount consistently (e.g., proportionately); acc. dep = gross − revalued amount

(b) Eliminate acc. dep against gross carrying amount; net = revalued amount

5 Surplus / deficit — the sequence 39 · 40

Increase → **OCI** (revaluation surplus)
except: reverses an earlier **P&L** decrease → **P&L** to that extent

Decrease → **P&L**
except: to the extent of **surplus for the SAME asset** → **OCI** first

Land (no depreciation)	Value	OCI	P&L
Cost	100	—	—
Revalued up	120	+20	—
Revalued down	90	−20 (wipe surplus)	−10
Revalued up	115	+15	+10 (reverse P&L loss first)

⚠ TRAP
Surplus of **Asset A** can **never** absorb a deficit of **Asset B**, even in the same class.

6 Moving the surplus 41 · 42

→ Transfer to **retained earnings directly** (within equity) — **never through P&L**

→ When: on **derecognition**, or yearly as used = **depreciation on revalued amount − depreciation on original cost**

→ Deferred tax on surplus → OCI (Ind AS 12)

Surplus goes **up through OCI** and **out through retained earnings** — P&L never sees it.

7 Depreciation 43 – 62A

- → ***Component approach*** — each significant part separately 43; mandatory under Sch II too
- → ***Land & buildings*** separate; land not depreciated (except quarries / landfill); restoration cost on land → over benefit period 58 · 59
- → Depreciable amount = cost − ***residual value***; RV & useful life reviewed ***at least each FY-end*** → change = ***estimate*** 51
- → RV ≥ carrying amount → depreciation ***zero*** until RV falls 54
- → Method reviewed each FY-end → change = ***estimate***, prospective 61
- → ***Revenue-based depreciation is NOT appropriate*** 62A

Depreciation …	Rule 55
Starts	When ***available for use*** (location & condition) — not when actually used
Stops	Earlier of ***HFS classification*** (Ind AS 105) or ***derecognition***
Asset ***idle / retired from active use***	***Continues*** (unless fully depreciated; usage method may give zero)

8 Impairment & compensation 63 – 66

- → Impairment → ***Ind AS 36***
- → ***Insurance / third-party compensation*** for impaired, lost or given-up PPE → ***P&L when receivable*** — ***separate event***, never netted against the loss 65 · 66

> ⚠ **TRAP**
> Fire ***before*** RD: write off the asset in this year; recognise insurance only when ***receivable*** (Ind AS 37 — virtually certain). Fire ***after*** RD → Ind AS 10 non-adjusting (see Ind AS 10 notes).

9 Derecognition 67 – 72

- → On ***disposal*** or when ***no future benefits*** expected
- → Gain / loss → ***P&L***; gains are ***NOT revenue*** 68
- → ***Exception:*** PPE routinely held for ***rental then sold*** → transfer to ***inventory*** at carrying amount when rental ends; sale proceeds = ***revenue (Ind AS 115)*** 68A
- → Date of disposal & consideration → ***Ind AS 115*** rules 69 · 72

10 Decommissioning liability changes Appendix A

Model	Change in estimate of the liability
Cost model	Add to / deduct from asset cost; a decrease **beyond carrying amount → P&L**; revised depreciable amount depreciated over remaining life
Revaluation	Goes through **revaluation surplus / deficit** (OCI / P&L rules of para 39 – 40)
Unwinding of discount	**Finance cost in P&L** — never capitalised

11 Cross-standard links

- → **Ind AS 101** — deemed cost option: FV, or previous-GAAP carrying value for all PPE (D7AA)
- → **Ind AS 40** — owner-occupied ↔ investment property transfers at carrying amount (cost model only in India)
- → **Ind AS 105** — HFS: stop depreciation; lower of carrying amount and FV less costs to sell
- → **Ind AS 116** — ROU assets follow Ind AS 16 depreciation rules
- → **Ind AS 12** — revaluation creates taxable TD → DTL through OCI
- → **Ind AS 8** — useful life / RV / method = estimate; cost → revaluation = policy, prospective (para 17)

12 AAA bridge

Area	Requirement
CARO 3(i)(a)	Proper records incl. quantitative details & situation of PPE; intangibles records
CARO 3(i)(b)	Physical verification at reasonable intervals; material discrepancies dealt with
CARO 3(i)(c)	Title deeds of immovable property in company's name (not where company is lessee)
CARO 3(i)(d)	Revaluation during year — by **registered valuer**? change ≥ **10%** of net carrying value of a class
CARO 3(i)(e)	Proceedings under Benami Property Act
SA 540	Useful life, RV, revaluation FV, decommissioning estimate
SA 500 / SA 620	Valuer = management's expert (SA 500 para 8) vs auditor's expert (SA 620)
Sch II / Sec 123	Useful lives indicative (different life → justify & disclose); depreciation before dividend

> ✍ **Write in exam**
> "As per para 39–40 of Ind AS 16, the revaluation decrease shall first be debited to OCI to the extent of any credit balance existing in the revaluation surplus in respect of that asset, and the balance shall be recognised in profit or loss."

Nov 2026 attempt

Ind AS 12 — Income Taxes

Balance sheet approach: compare **carrying amount** with **tax base**. Everything else is an exception or a measurement rule.

1 The core grid

	Carrying amount > Tax base	Carrying amount < Tax base
ASSET	Taxable TD → DTL	Deductible TD → DTA
LIABILITY	Deductible TD → DTA	Taxable TD → DTL

Asset bigger in books → DTL. Liability bigger in books → DTA.

2 Tax base 7 · 8

Asset

Amount **deductible** for tax against future taxable benefits.

Benefits not taxable (e.g., dividend receivable not taxable) → tax base = **carrying amount** (no TD).

Liability

Carrying amount − **amount deductible** in future.

Revenue received in advance: CA − revenue not taxable in future.

Example	Result
Machine: book WDV 80, tax WDV 60	Taxable TD 20 → DTL
Provision (warranty / gratuity) 50, deductible on payment (43B)	TB 0 → deductible TD 50 → DTA
Advance received 30, taxed on receipt	TB 0 → deductible TD 30 → DTA
Interest receivable 10, taxed on receipt	TB 0 → taxable TD 10 → DTL
Land revalued 100 → 160, tax base 100	Taxable TD 60 → DTL via OCI
Penalty payable 5, never deductible	TB = CA → **no TD** (permanent)

3 Unused losses & credits 34 – 36

→ DTA for unused tax losses / credits → only to extent **probable** future taxable profit

→ **History of recent losses** → need **convincing other evidence** (taxable TDs, firm contracts, tax planning) 35

→ **MAT credit** → recognised as **DTA** when probable it will be utilised within the allowed period (ICAI guidance)

MOST TESTED

4 Initial recognition exceptions 15 · 24

No DT is recognised for:

→ **DTL on initial recognition of goodwill** 15(a) (DTA on tax-deductible goodwill excess — allowed)

→ Initial recognition of an asset / liability in a transaction that:

- is **not a business combination**, and
- affects **neither** accounting profit **nor** taxable profit, and
- does **not** give rise to **equal** taxable and deductible TDs (2023 amendment)

⚠ TRAP

2023 amendment: leases (ROU asset + lease liability) and **decommissioning** (asset + provision) create **equal and opposite TDs** → exception **no longer applies** → recognise **both DTA and DTL** (gross; offset only if para 74 met).

5 Measurement 46 – 56

→ Rates **enacted or substantively enacted by RD** 47 — change after RD = Ind AS 10 non-adjusting

→ Rate expected when TD **reverses**; reflect **manner of recovery** (use vs sale) 51

→ Revalued **non-depreciable** asset (land) → rate for **recovery through sale** 51B

→ **No discounting** of DTA / DTL 53

→ **Review DTA** each RD — reduce if not probable; reassess **unrecognised** DTA too 37 · 56

Sec 115BAA (new regime 22% + surcharge & cess)

Measure DT at the rate expected when TDs **reverse**: if the company expects to opt in a later year, TDs reversing after that year use the **new rate**. Remeasurement effect → **P&L** (or OCI / equity if the item was there).

6 Where does tax go? 57 – 68C

Underlying item	Tax goes to
Normal income / expense	**P&L**
Revaluation surplus, DB remeasurement, FVOCI, CFH	**OCI** 61A
Retrospective policy change / error correction; equity component of compound instrument	**Equity directly**
Business combination (FV adjustments)	**Goodwill** 66
Income-tax consequences of **dividends**	Where the **distributable profits** were recognised (usually P&L) 57A

7 Investments in subs, branches, associates, JVs 39 · 44

	Recognise unless …
DTL	*parent / investor **controls timing** of reversal **and** it is **probable not to reverse** in foreseeable future* 39
DTA	*recognise **only if** probable to reverse in foreseeable future **and** taxable profit available* 44

> ⚠ **TRAP**
>
> ***Associate:** investor usually **cannot control** dividend policy → DTL on undistributed profits generally **recognised** (unless agreement says profits won't be distributed). **Subsidiary:** parent controls → often not recognised.*

8 Consolidation adjustments

- → ***Unrealised profit** in inventory eliminated → deductible TD → **DTA at buyer's rate** (buyer holds the asset)*
- → *Downstream → DTA all to parent; upstream → DTA split parent / NCI (see LDR Topic 2)*
- → *Group DT computed on **consolidated** carrying amounts vs **each entity's** tax base*

9 Business combinations 19 · 66 – 68

- → *FV uplift on acquiree's assets (tax base unchanged) → **DTL** → **increases goodwill***
- → ***No DTL on goodwill** itself*
- → *Acquirer's **own** previously unrecognised DTA becomes recognisable because of the combination → **P&L, not goodwill** 67*
- → *Acquiree DTA recognised **later**: within **measurement period** & from new info about facts at acquisition → reduce goodwill (excess → P&L); otherwise → P&L* 68

10 Presentation & offset 71 – 76

- → *Offset current tax assets / liabilities only with **legally enforceable right** + intent to settle net*
- → *Offset DTA / DTL only if **legally enforceable right** to set off current tax **and** same **taxation authority** (same entity, or entities intending net settlement)* 74
- → ***DT never current** (Ind AS 1 para 56)*
- → *Disclose **tax expense reconciliation** (ETR or numerical)* 81(c)

11 Uncertain tax treatments Appendix C

- → Assume the authority **will examine** with **full knowledge** (no detection risk)
- → Probable the authority accepts? **Yes** → use filed position. **No** → reflect uncertainty using **most likely amount** or **expected value** (whichever predicts better)
- → Consider each treatment separately or together — whichever predicts resolution better
- → **Reassess** when facts change (new assessment order, ruling, expiry of limitation)

12 Ind AS 12 vs old AS 22

	AS 22	Ind AS 12
Approach	P&L (income statement)	**Balance sheet**
Differences	Timing	**Temporary** (wider: incl. revaluation, BC, OCI items)
DTA on losses	Virtual certainty	**Probable** (convincing evidence if recent losses)

13 AAA bridge

Area	Requirement
SA 540	DTA recoverability (profit forecasts), uncertain tax positions, rate expectations
SA 250	Compliance with tax laws; non-compliance effect on FS
SA 580	Written representations on tax planning & future profitability assumptions
CARO 3(vii)(a)	Undisputed statutory dues (incl. income tax) deposited regularly; arrears > 6 months
CARO 3(vii)(b)	Disputed dues not deposited — amount & forum
CARO 3(viii)	Unrecorded income **surrendered / disclosed** in tax assessments — recorded in books?

✍ Write in exam

"As per para 24 and 34 of Ind AS 12, a deferred tax asset shall be recognised for deductible temporary differences and unused tax losses only to the extent that it is probable that taxable profit will be available against which they can be utilised; given the history of recent losses, convincing other evidence is required (para 35)."

DTA needs **proof of future profit**. DTL needs **no proof** — it's always recognised (except goodwill / IRE / controlled timing).